

# PROJECT LESTARI

|                                       |                                                                                                                                                                                         |
|---------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Project title</b>                  | Project Lestari                                                                                                                                                                         |
| <b>Project ID</b>                     | 5585                                                                                                                                                                                    |
| <b>Crediting period</b>               | 15-Jun-2022 to 14-Jun-2047                                                                                                                                                              |
| <b>Project lifetime</b>               | 15-Jun-2022 – 14-Jun-2121; 99-year lifetime                                                                                                                                             |
| <b>(CCB) GHG accounting period</b>    | 15-Jun-2022 to 14-Jun-2047; 25-year total period                                                                                                                                        |
| <b>Original date of issue</b>         | For pipeline listing, 26-May-2025 is the date of submission                                                                                                                             |
| <b>Most recent date of issue</b>      | 26-May-2025 is the date on which the document was most recently submitted                                                                                                               |
| <b>Version</b>                        | Version 1                                                                                                                                                                               |
| <b>VCS Standard version</b>           | v4.7                                                                                                                                                                                    |
| <b>CCB Standards version</b>          | v3.1                                                                                                                                                                                    |
| <b>Project location</b>               | Indonesia, Malinau Regency, North Kalimantan Province                                                                                                                                   |
| <b>Project proponent(s)</b>           | PT. Agra Inti Investama<br>Contact name: Mr. Uswatul Hasan, General Manager<br>(+62) 813 7550 2915 / (+62) 811 618 1800<br><a href="mailto:malinau@agracorp.id">malinau@agracorp.id</a> |
| <b>Validation/verification body</b>   | TBD                                                                                                                                                                                     |
| <b>History of CCB status</b>          | N/A                                                                                                                                                                                     |
| <b>Gold Level criteria</b>            | TBD                                                                                                                                                                                     |
| <b>Expected verification schedule</b> | If known, provide the expected schedule for initial verification                                                                                                                        |
| <b>Prepared by</b>                    | Deloitte Advisory (Hong Kong) Limited                                                                                                                                                   |

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# 1 SUMMARY OF PROJECT BENEFITS

## 1.1 Unique Project Benefits

| Outcome or impact estimated by the end of project lifetime                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Section reference |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|
| <p>1) Decrease in greenhouse gas emissions</p> <p>It is anticipated that a total of 58,787,291 metric tons of carbon dioxide equivalent (tCO<sub>2</sub>e) in emission reductions will be realized upon the conclusion of the project's duration. This projection takes into account the prevention of deforestation and forest degradation attributable to the implemented measures.</p>                                                                                                                     | 2,3               |
| <p>2) Biodiversity conservation</p> <p>The anticipated beneficial effects on biodiversity conservation are set to conserve biodiversity by protecting the complex web of life that thrives within the forest ecosystem. By preventing the loss of habitat due to deforestation, the project ensures that countless species of plants, insects, birds, mammals, and fungi can continue to exist and thrive.</p>                                                                                                | 5                 |
| <p>3) Ecosystem services enhancement</p> <p>Discuss the project's contribution to ecosystem services, including water regulation, soil protection, air quality improvement, and climate regulation, which are essential for sustainable livelihoods, maintaining aquatic life, and reducing flood risks.</p>                                                                                                                                                                                                  | 5                 |
| <p>4) Climate change adaptation and natural disaster resilience</p> <p>Illustrate the project's role in preventing deforestation to ensure that existing carbon stocks remain intact. Furthermore, discuss the project's contribution to the reduction of the impact of natural disasters, such as floods and landslides. In particular, stress the project's objectives to mitigate the likelihood of floods by implementing responsible forest management techniques for protecting lives and property.</p> | 3                 |
| <p>5) Sustainable Livelihoods</p> <p>Highlight the expected positive impact on the adoption of conscientious forest management, with the goal of halting additional deforestation and fostering enduring livelihoods.</p>                                                                                                                                                                                                                                                                                     | 4                 |

## 1.2 Standardized Benefit Metrics

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

## 2 PROJECT DETAILS

### 2.1 Project Goals, Design and Long-Term Viability

#### 2.1.1 Summary Description of the Project (VCS, 3.2, 3.6, 3.10, 3.11, 3.13, 3.14; CCB, G1.2)

The Lestari Project, located within Malinau Regency, North Kalimantan Province, Indonesia, is focused on the conservation of forest resources. The project involves the conservation of three plots of forest area originally designated for logging and conversion into oil palm plantations.

The Project Proponent is PT. Agra Inti Investama, which is the landowner of the three plots of land under three of its subsidiaries: PT. Agra Beverindo, PT. Agra Cahaya Keumala, and PT. Agra Water Front Indonesia. The project aims to maintain the primary land use as forest, with a small portion reserved for village expansion and improved social services.

Project Proponent is committed to preventing deforestation in the project area with 60,000 hectares of land in the Malinau Regency, North Kalimantan.

The project's mitigation measures include enhancing local surveillance, mapping deforestation patterns, collaborating with educational institutions, and providing alternative income and social benefits to neighboring communities to minimize deforestation. The ultimate goal is to protect the natural forest from being cleared for forestry development.

The project operates to safeguard the forest from planned deforestation, with the primary climate objective being to reduce emissions from deforestation and forest degradation. It also aims to promote health and well-being among local populations and protect biodiversity. Monitoring efforts are crucial to ensure the integrity of the forest, with a portion of carbon credits allocated to improving social and environmental conditions in the project region.

Starting from 15-Jun-2022, the project estimates total GHG emission reductions or removals of 58,787,291 tCO<sub>2</sub>e over a 25-year crediting period, with average annual reductions of 2,351,491.64 tCO<sub>2</sub>e.

#### 2.1.2 Audit History (VCS, 4.1)

TBD

| Audit type              | Period                        | Program | Validation/verification body name | Number of years |
|-------------------------|-------------------------------|---------|-----------------------------------|-----------------|
| Validation/verification | (DD-Month-YYYY–DD-Month-YYYY) |         | Validation/verification body name | One year        |

|  |      |  |  |  |
|--|------|--|--|--|
|  | .... |  |  |  |
|--|------|--|--|--|

### 2.1.3 Sectoral Scope and Project Type (VCS, 3.2)

|                                            |                                                             |
|--------------------------------------------|-------------------------------------------------------------|
| <b>Sectoral scope</b>                      | 14: Agriculture, forestry, and other land use               |
| <b>AFOLU project category <sup>1</sup></b> | Reduced Emissions from Deforestation and Degradation (REDD) |
| <b>Project activity type</b>               | Avoiding Planned Deforestation and/or Degradation (APDD)    |

### 2.1.4 Project Eligibility (VCS, 3.1, 3.6, 3.8, 3.18, 4.1; CCB Program Rules, 4.2.4, 4.6.4)

In compliance with the VCS Methodology Requirements, for REDD (Reduced Emissions from Deforestation and Degradation) projects, qualifying activities are defined as those that decrease net greenhouse gas emissions through the prevention of deforestation. The project qualifies within the defined scopes of both the VCS and the CCB Program.

| No. | Module                              | Eligibility Conditions                                                                                                                                                                                                                                                                 | Comment                                                                                                                                                                                                               |
|-----|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1   | VCS Standard (version: 4.7) - 3.1.1 | Projects shall meet all applicable rules and requirements set out under the VCS Program, including this document. Projects shall be guided by the principles set out in Section 2.2.1.                                                                                                 | The project meets all applicable rules and requirements set out under the VCS Program, as detailed in this section and in Applicability of Methodology.                                                               |
| 2   | VCS Standard (version: 4.7) - 3.1.2 | Projects shall apply methodologies eligible under the VCS Program. Methodologies shall be applied in full, including the full application of any tools or modules referred to by a methodology, noting the exception set out in Section 3.14.1.                                        | The applied methodology is VM0048/VM0007 – REDD+ Methodology Framework, v1.8. under VM0048 – Reducing Emissions from Deforestation and Forest Degradation v1.0. Applicability conditions are detailed in section 3.1. |
| 3   | VCS Standard (version: 4.7) - 3.1.3 | Projects shall apply the latest version of the applicable methodology in all cases unless a grace period applies to the project as set out in 3.22 below. Projects shall update to the latest version of the methodology when reassessing the baseline or renewing a crediting period. | The project has already adopted the latest version of the methodology.                                                                                                                                                |
| 4   | VCS Standard (version: 4.7) - 3.1.4 | Projects and the implementation of project activities shall not lead to the violation of any applicable law, regardless of whether or not the law is enforced.                                                                                                                         | The project activity involves the conservation of native forest. These activities are eligible under the Indonesian law and National REDD+ Strategy according to conditions set out in sections 2.5.                  |

<sup>1</sup> See Appendix 1 of the VCS Standard

|   |                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|---|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|   |                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | <p>Laws and guidelines (refer to Section 2.5 for further details):</p> <ul style="list-style-type: none"> <li>Indonesia REDD+ National Strategy 2021-2030</li> <li>Law No. 41/1999 on Forestry</li> <li>Presidential Regulation No. 98/2021 on the Implementation of Carbon Economic Value for Achieving NDC Targets and Control of GHG Emissions</li> <li>MoEF Regulation No. 70/2017 on Implementing REDD+ and Sustainable Management of Forests</li> <li>MoEF Regulation No. P.70/MENLHK/SETJEN/KUM.1/12/2017 on Procedures for Reducing Emissions from Deforestation and Forest Degradation, Role of Conservation, Sustainable Management of Forest and Enhancement of Forest Carbon Stocks</li> <li>MoEF Regulation No. P.71/MENLHK/SETJEN/KUM.1/12/2017 on Implementation of a National Registry System for Climate Change Control</li> </ul> |
| 5 | VCS Standard (version: 4.7) - 3.1.5 | Where projects apply methodologies that permit the project proponent its own choice of model (see the VCS Program Definitions for the definition of model), the model shall meet the requirements set out in the VCS Methodology Requirements, and it shall be demonstrated at validation that the model is appropriate to the project circumstances (i.e., use of the model will lead to an appropriate quantification of GHG emission reductions or carbon dioxide removals). | Not applicable. Project applies the VM0048 and VM0007 version 1.7 methodologies.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| 6 | VCS Standard (version: 4.7) - 3.1.6 | Where projects apply methodologies that permit the project proponent to choose a third-party default factor or standard to ascertain GHG emission data and any supporting data for establishing baseline scenarios and demonstrating additionality, such default factor or standard shall meet the requirements set out in the VCS Methodology Requirements.                                                                                                                    | <p>Third-party default factors are applied to ascertain GHG emission data, including:</p> <p>Table 4.3-4.5, IPCC 2006<br/> <u><a href="#">Appendix 1 - List of wood densities for tree species from tropical America, Africa, and Asia.</a></u><br/>         Table 5.3, IPCC 2006<br/>         Indonesia National Forest Reference Level<br/>         Table 5.1, IPCC 2007<br/> <u><a href="https://doi.org/10.1155/2022/6445022">https://doi.org/10.1155/2022/6445022</a></u><br/>         All the applied default factors meet the requirements set out in the VCS Methodology Requirements.</p>                                                                                                                                                                                                                                                  |

|    |                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                             |
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| 7  | VCS Standard (version: 4.7) - 3.1.7 | Where the rules and requirements under an approved GHG program conflict with the rules and requirements of the VCS Program, the rules and requirements of the VCS Program shall take precedence.                                                                                                                                                                                                                                                                                                                                                                                                                                          | The project applies approved VCS methodology and tools. The project shall take precedence to the rules and requirements of the VCS Program over other approved GHG Program. |
| 8  | VCS Standard (version: 4.7) - 3.1.8 | Where projects apply methodologies from approved GHG programs, they shall conform with any specified capacity limits (see the VCS Program Definitions for the definition of capacity limit) and any other relevant requirements set out with respect to the application of the methodology and/or tools referenced by the methodology under those programs.                                                                                                                                                                                                                                                                               | The project applies approved VCS methodology and tools. The project shall take precedence to the rules and requirements of the VCS Program over other approved GHG Program. |
| 9  | VCS Standard (version: 4.7) - 3.1.9 | Where Verra issues new VCS Program rules, the effective dates of these requirements are set out in Appendix 3 Document History and Effective Dates or equivalent for other program documents, and are listed in a companion Summary of Effective Dates document which corresponds with each update.                                                                                                                                                                                                                                                                                                                                       | The project has adopted the latest version of VCS Program rules.                                                                                                            |
| 10 | VCS Standard (version: 4.7) - 3.2.1 | There are currently six AFOLU project categories eligible under the VCS Program, as defined in Appendix 1 Eligible AFOLU Project Categories below: afforestation, reforestation and revegetation (ARR), agricultural land management (ALM), improved forest management (IFM), reduced emissions from deforestation and degradation (REDD), avoided conversion of grasslands and shrublands (ACoGS), and wetland restoration and conservation (WRC). Further specification with respect to eligible activities which may be included within methodologies approved under the VCS Program can be found in the VCS Methodology Requirements. | This is an eligible AFOLU project category under the VCS Program: Reduced Emissions from Deforestation and Degradation (REDD).                                              |
| 11 | VCS Standard (version: 4.7) - 3.2.2 | Where projects are located within a jurisdiction covered by a jurisdictional REDD+ program, project proponents shall follow the requirements in this document and the requirements related to nested projects set out in the Jurisdictional and Nested REDD+ Requirements.                                                                                                                                                                                                                                                                                                                                                                | This project is not located within a jurisdiction covered by a jurisdictional REDD+ program.                                                                                |



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| 12 | VCS Standard (version: 4.7) - 3.2.3 | Where an implementation partner is acting in partnership with the project proponent, the implementation partner shall be identified in the project description. The implementation 3 Project Requirements 9 partner shall identify its roles and responsibilities with respect to the project, including but not limited to implementation, management, and monitoring of the project, over the project crediting period.                                                                                                                                                                                                                                                                                                                                                                                                                           | Any implementation partners are described on the Project Description, in sections 2.1.7 and 2.1.8.                                                                                       |
| 13 | VCS Standard (version: 4.7) - 3.2.4 | The project proponent shall demonstrate that project activities that lead to the intended GHG benefit have been implemented during each verification period in accordance with the project design. Where no new project activities have been implemented during a verification period, project proponents shall demonstrate that previously implemented project activities continued to be implemented during the verification period (e.g., forest patrols or improved agricultural practices of community members).                                                                                                                                                                                                                                                                                                                               | Project proponent demonstrate that project activities that lead to the intended GHG benefit have been implemented during each verification period in accordance with the project design. |
| 14 | VCS Standard (version: 4.7) - 3.2.5 | For all IFM, Avoiding Planned Deforestation (APD) (except where the agent is unknown), Restoring Wetland Ecosystems (RWE), Avoiding Planned Wetland Degradation (APWD), Avoiding Planned Conversion (APC), and ALM project types, the project proponent shall, for the duration of the project, reassess the baseline every ten years. For all Avoiding Unplanned Deforestation and Degradation (AUDD) (where the baseline is not allocated from jurisdictional level data), APD (where the agent is unknown), Avoiding Unplanned Conversion (AUC), and Avoiding Unplanned Wetland Degradation (AUWD) project types, the project proponent shall, for the duration of the project, reassess the baseline every six years. For Avoiding Unplanned Deforestation projects where the baseline is allocated from jurisdictional level data, the initial | The baseline reassessment will be conducted every six years as this is an APDD project.                                                                                                  |

|    |                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                            |
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|    |                                      | project baseline validity period may be as little as one year but no more than seven years. The second and subsequent project baseline validity periods shall be no more than six years. The project proponent shall reassess the baseline at the end of each baseline validity period.                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                            |
| 15 | VCS Standard (version: 4.7) - 3.2.10 | Projects shall prepare a non-permanence risk report in accordance with the AFOLU Non-Permanence Risk Tool at validation and verification. The non-permanence risk report shall be prepared using the AFOLU Non-Permanence Risk Assessment Calculator and shall be included as an annex to the project description or monitoring report, as applicable, or provided as a stand-alone document.                                                                                                                                                             | The project has conducted a non-permanence risk analysis on validation, according to the most recent version of the VCS Program document AFOLU Non-Permanence Risk Tool and shall perform the same report during subsequent verifications. |
| 16 | VCS Standard (version: 4.7) - 3.2.11 | Projects shall have a minimum of a 40-year project longevity.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | The project longevity is 99-years.                                                                                                                                                                                                         |
| 17 | VCS Standard (version: 4.7) - 3.8.2  | AFOLU projects shall initiate the pipeline listing process (as set out in the Registration and Issuance Process) within three years of the project start date.                                                                                                                                                                                                                                                                                                                                                                                            | The project initiated the pipeline listing process within three years of the project start date.                                                                                                                                           |
| 18 | VCS Standard (version: 4.7) - 3.8.4  | All other AFOLU projects shall complete validation within five years of the project start date.                                                                                                                                                                                                                                                                                                                                                                                                                                                           | The project's start date is 15 Jun 2022, and the project will complete the first validation in 2025.                                                                                                                                       |
| 19 | VCS Standard (version: 4.7) - 3.18.1 | The project proponent shall conduct a thorough assessment of the stakeholders that will be impacted by the project activities. In identifying stakeholders, the project proponent must consider the significance of user populations and how deeply affected they may be by the project activities, such that distant or intermittent user groups who will be affected in very limited ways by the project need not be defined as stakeholders. The project description shall include information on stakeholders at the start of the project, including: | The project applies all the requirement on stakeholders. Please refer to section 2.3 of the PD.                                                                                                                                            |

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|----|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
|    |                                      | <p>1) The process(es) used to identify stakeholders likely impacted by the project and a list of such stakeholders;</p> <p>2) Identification of any legal or customary tenure/access rights to territories and resources, including collective and/or conflicting rights, held by stakeholders;</p> <p>3) A description of the social, economic and cultural diversity within stakeholders and the differences and interactions between the stakeholders;</p> <p>4) Any significant changes in the makeup of stakeholders over time;</p> <p>5) The expected changes in well-being and other stakeholder characteristics under the baseline scenario, including impacts on resources identified as important to stakeholders;</p> <p>6) The location of stakeholders, Indigenous Peoples (IPs), local communities (LCs), customary rights holders, and areas outside the project area that are predicted to be impacted by the project;</p> <p>7) The location of territories and resources which stakeholders own or to which they have customary access; and</p> <p>8) Any barriers to stakeholder engagement such as literacy and location or connection to electricity and how the project proponent will address such barriers.</p> |                                                                                                                                                      |
| 20 | VCS Standard (version: 4.7) - 3.18.2 | <p>The project proponent shall conduct a stakeholder consultation before implementation of project activities. Such consultations shall be done in a manner that is inclusive, culturally appropriate, and respectful of local knowledge, and shall include:</p> <p>1) A representative from each stakeholder group.</p> <p>2) A discussion of the project design and implementation, including agreement and consent from stakeholder groups to participate in the consultation.</p> <p>3) The risks, costs and benefits the project may bring to stakeholders.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | The project has conducted the comprehensive stakeholder consultation and it is record in the meeting minutes. Please refer to section 2.3 of the PD. |

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|    |                                      | <p>4) All relevant laws and regulations covering workers' rights in the host country.</p> <p>5) Information on impact to property rights as part of the free, prior, and informed consent (FPIC) process</p> <p>6) Discussion of benefit sharing where relevant.</p> <p>7) The process of VCS validation and verification and the validation/verification body's site visit.</p>                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                         |
| 21 | VCS Standard (version: 4.7) - 3.18.3 | <p>The project proponent shall take due account of all input received during the stakeholder consultation and through ongoing communications. The input from stakeholders may require updates to project design which shall be reported as a project description deviation. Where the project proponent does not update the project design, the project proponent shall justify why updates are not appropriate. The project proponent shall demonstrate to the validation/verification body what action it has taken in respect of the stakeholder consultation as part of validation, and in respect of ongoing communications as part of each subsequent verification.</p>                                                                                                         | The project applies all the requirement on stakeholders consultation and ongoing communications. Please refer to section 2.3 of the PD. |
| 22 | VCS Standard (version: 4.7) - 3.18.4 | <p>The project proponent shall develop a grievance redress procedure to address disputes with stakeholders that may arise during project planning and implementation, including with regard to benefit sharing and all other safeguard and stakeholder engagement requirements mentioned in Sections 3.18 and 3.19 respectively. The procedure shall include processes for receiving, hearing, responding and attempting to resolve grievances within a reasonable time period, taking into account culturally appropriate conflict resolution methods. The procedure and documentation of disputes resolved through the procedure shall be made publicly available. The procedure shall have three stages:</p> <p>1) The project proponent shall attempt to amicably resolve all</p> | The project applies all the requirement on grievance redress procedure. Please refer to section 2.3 of the PD.                          |

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|    |                                      | <p>grievances and provide a written response in a manner that is culturally appropriate.</p> <p>2) Any grievances that are not resolved by amicable negotiations shall be referred to mediation by a neutral third party.</p> <p>3) Any grievances that are not resolved through mediation shall be referred either to a) arbitration, to the extent allowed by the laws of the relevant jurisdiction or b) competent courts in the relevant jurisdiction, without prejudice to a party's ability to submit the grievance to a competent supranational adjudicatory body, if any.</p> |                                                                                                                                                                        |
| 23 | VCS Standard (version: 4.7) - 3.18.5 | <p>The project proponent shall establish mechanisms for ongoing communication with stakeholders to allow stakeholders to raise concerns about potential negative impacts during project implementation. As part of ongoing consultation, the project proponent shall communicate at least:</p> <p>1) The risks, costs and benefits the project may bring to stakeholders.</p> <p>2) The benefit sharing mechanism where relevant.</p> <p>3) The ongoing FPIC process.</p> <p>4) All relevant laws and regulations covering workers' rights in the host country.</p>                   | The project applies all the requirement on ongoing communication with stakeholders. Please refer to section 2.3 and 2.5 of the PD.                                     |
| 24 | VCS Standard (version: 4.7) - 3.18.6 | <p>Prior to each validation/verification event, the project proponent shall communicate:</p> <p>1) The project design and implementation, including the results of monitoring.</p> <p>2) The risks, costs and benefits the project may bring to stakeholders.</p> <p>3) The benefit sharing mechanism where relevant.</p> <p>4) The ongoing FPIC process.</p> <p>5) All relevant laws and regulations covering workers' rights in the host country.</p> <p>6) The process of VCS validation and verification and the validation/verification body's site visit.</p>                   | The project applies all the requirement on communication with stakeholders prior to each validation/verification event. Please refer to section 2.3 and 2.5 of the PD. |
| 25 | VCS Standard                         | The project proponent shall respect stakeholders' rights to participate in                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | The project proponent respect stakeholders' rights to participate in and consent to                                                                                    |

|    |                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                 |
|----|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
|    | (version: 4.7) - 3.18.7              | and consent to consultation as part of project design and implementation.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | consultation as part of project design and implementation. Please refer to section 2.3 and 2.5 of the PD.                       |
| 26 | VCS Standard (version: 4.7) - 3.18.8 | <p>The project may affect property rights only if free, prior, and informed consent is obtained from those concerned, including IPs, LCs, and customary rights holders, and a transparent agreement is reached that includes provisions for just and fair compensation. In the event there are any ongoing or unresolved conflicts over property rights, usage, or resources, the project shall undertake no activity that could exacerbate the conflict or influence the outcome of an unresolved dispute. Prior to establishing such an agreement, the project proponent shall disclose, at a minimum, the following information:</p> <ol style="list-style-type: none"> <li>1) The nature, size, pace, reversibility, and scope of any proposed project or activity;</li> <li>2) The reason(s) or purpose of the project and/or activity;</li> <li>3) The duration of the project activities;</li> <li>4) The locations that will be affected;</li> <li>5) A preliminary assessment of the likely economic, social, cultural and environmental impact, including potential risks and fair and equitable benefit sharing in a context that respects the precautionary principle;</li> <li>6) Personnel likely to be involved in the execution of the proposed project (including Indigenous Peoples, private sector staff, research institutions, government employees and others)</li> </ol> | The project applies all the requirement and there is no ongoing or unresolved conflicts. Please refer to section 2.5 of the PD. |
| 27 | VCS Standard (version: 4.7) - 3.18.9 | All projects are subject to a 30-day public comment period. The date on which the project is listed on the project pipeline as under validation marks the beginning of the project's 30-day public comment period (see the Registration and Issuance Process for more information on the VCS project pipeline).                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | The project meets all applicable rules and requirements.                                                                        |
| 28 | VCS Standard (version:               | Projects shall remain on the project pipeline as under validation for the                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | The project meets all applicable rules and requirements.                                                                        |

|    |                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                    |
|----|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
|    | 4.7) - 3.18.10                        | entirety of their 30-day public comment period                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                    |
| 29 | VCS Standard (version: 4.7) - 3.18.11 | Any comments shall be submitted through the project's page on the Verra Registry. Respondents shall provide their name, organization, country, and email address. At the end of the public comment period, Verra provides all comments received to the project proponent and the validation/verification body. Verra makes a summary of all comments received public on the project's page on the Verra Registry.                                                                                                                                                       | The project meets all applicable rules and requirements.                           |
| 30 | VCS Standard (version: 4.7) - 3.18.12 | The project proponent shall take due account of all comments received during the consultation, which means they will need to either update the project design or demonstrate the insignificance or irrelevance of the comment. They shall demonstrate to the validation/verification body what action it has taken                                                                                                                                                                                                                                                      | The project meets all applicable rules and requirements. No comments were received |
| 31 | VCS Standard (version: 4.7) - 3.18.13 | The validation/verification body shall not finalize validation until the 30-day public comment period has ended and it has evaluated the project proponent's responses to any comments received.                                                                                                                                                                                                                                                                                                                                                                        | The project meets all applicable rules and requirements.                           |
| 32 | VCS Standard (version: 4.7) - 3.18.14 | Stakeholders may submit comments outside of the 30-day public comment period (see the Registration and Issuance Process for more information on comments received outside of the 30-day public comment period). The project proponent shall address any comments received within one year of receipt from Verra. To demonstrate they've evaluated the comments, the project proponent shall respond to the stakeholder and complete a project description deviation if applicable, or justify why no action was needed in the project description or monitoring report. | The project meets all applicable rules and requirements.                           |
| 33 | VCS Standard (version: 4.7) - 3.18.15 | The validation/verification body shall assess the project proponent's responses to all comments received as part of the subsequent validation and/or verification                                                                                                                                                                                                                                                                                                                                                                                                       | The project meets all applicable rules and requirements.                           |



|    |                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                              |
|----|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|
| 34 | VCS Standard (version: 4.7) - 3.18.16 | Stakeholders may submit comments at any time to request project documents that are missing from the Verra Registry. The Verra Registry will coordinate with the project proponent to provide any such documents to the project record on the Verra Registry and notify the stakeholder once the document is posted.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | The project meets all applicable rules and requirements.                                                                     |
| 35 | VCS Standard (version: 4.7) - A1.5    | Eligible REDD activities are those that reduce net GHG emissions by reducing deforestation and/or degradation of forests. Deforestation is the direct, human-induced conversion of forest land to non-forest land. Degradation is the persistent reduction of canopy cover and/or carbon stocks in a forest due to human activities such as animal grazing, fuelwood extraction, timber removal or other such activities, but which does not result in the conversion of forest to non-forest land (which would be classified as deforestation), and qualifies as forests remaining as forests, such as set out under the IPCC 2003 Good Practice Guidance. The project area shall meet an internationally accepted definition of forest, such as those based on UNFCCC host-country thresholds or FAO definitions, and shall qualify as forest for a minimum of 10 years before the project start date. The definition of forest may include mature forests, secondary forests, and degraded forests. Under the VCS Program, secondary forests are considered to be forests that have been cleared and have recovered naturally and that are at least 10 years old and meet the lower bound of the forest threshold parameters at the start of the project. Forested wetlands, such as floodplain forests, peatland forests and mangrove forests, are also eligible provided they meet the forest definition requirements mentioned above. | See the GIS picture for this project area 10 years before.                                                                   |
| 36 | VCS Standard (version: 4.7) - A1.5    | Activities covered under the REDD project category are those that are designed to stop planned                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | The project activity is designed to stop planned (sanctioned) deforestation as described throughout the project description. |



|    |                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                    |
|----|------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | 4.7) - A1.6                        | (designated and sanctioned) deforestation or unplanned (unsanctioned) deforestation and/or degradation. Avoided planned degradation is classified as IFM.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                    |
| 37 | VCS Standard (version: 4.7) - A1.7 | Activities that stop unsanctioned deforestation and/or illegal degradation (such as removal of fuelwood or timber extracted by non-concessionaires) on lands that are legally sanctioned for timber production are eligible as REDD activities. However, activities that reduce or stop logging only, followed by protection, on forest lands legally designated or sanctioned for forestry activities are included within IFM. Projects that include both avoided unplanned deforestation and/or degradation as well as stopping sanctioned logging activities, shall follow the REDD guidelines for the unplanned deforestation and/or degradation and the IFM guidelines for the sanctioned logging activities, and shall follow the requirements set out in Section 3.6.2                                | In case future project activity instances have areas legally sanctioned for timber production, baseline and project activity shall comprehend unsanctioned deforestation and/or illegal degradation, not the reduction of logging. |
| 38 | VCS Standard (version: 4.7) - A1.8 | Eligible REDD activities include:<br>1) Avoiding Planned Deforestation (APD): This category includes activities that reduce net GHG emissions by permanently stopping or reducing deforestation on forest lands that are legally authorized and documented for conversion. Planned deforestation encompasses activities where a forest system would have been cleared and replaced by a different forest system with a lower carbon stock and where the recovery of timber was not the primary objective of the initial forest clearance.<br>2) Avoiding Unplanned Deforestation and/or Degradation (AUDD): This category includes activities that reduce net GHG emissions by stopping deforestation and/or degradation of degraded to mature forests that would have occurred in any forest configuration. | The present Project Activity is within category Avoiding Planned Deforestation and/or Degradation (APDD).                                                                                                                          |
| 39 | CCB Program Rule                   | VCS shall receive the validation and/or verification report and validation and/or verification                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | The project meets all applicable rules and requirements.                                                                                                                                                                           |

|    |                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                          |
|----|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------|
|    | (version 3.1) - 4.2.4                  | statement within one year of the initiation of the relevant public comment period.                                                                                                                                                                                                                                                                                                                                                                         |                                                          |
| 40 | CCB Program Rule (version 3.1) - 4.6.4 | The public comment period should be completed before the start of the validation/verification body site visit, so that the validation/verification body may make appropriate enquiries onsite about any comments received. In the event that the public comment period ends after the site visit is complete, the validation/verification body shall give full consideration to any comments received and may need to return to the project site to do so. | The project meets all applicable rules and requirements. |

### 2.1.5 Transfer Project Eligibility (VCS, 3.23, Appendix 2)

Not applicable.

### 2.1.6 Project Design (VCS, 3.6)

Indicate if the project has been designed as:

- ☐ Single location or installation
- ☒ Multiple locations or project activity instances (but not a grouped project)
- ☐ Grouped project

#### 2.1.6.1 Eligibility Criteria for Grouped Projects (VCS, 3.6; CCB, G1.14)

Not applicable.

### 2.1.7 Project Proponent (VCS, 3.7; CCB, G1.1)

|                   |                                                                                           |
|-------------------|-------------------------------------------------------------------------------------------|
| Organization name | PT. Agra Inti Investama                                                                   |
| Contact person    | Uswatul Hasan                                                                             |
| Title             | General Manager                                                                           |
| Address           | Jl. Abdullah Lubis No. 1<br>Kelurahan Darat, Kecamatan Medan Baru<br>Medan, Sumatra Utara |

|           |                                                              |
|-----------|--------------------------------------------------------------|
|           | Indonesia 20153                                              |
| Telephone | (+62) 813 7550 2915 / (+62) 811 618 1800                     |
| Email     | <a href="mailto:malinau@agracorp.id">malinau@agracorp.id</a> |

### 2.1.8 Other Entities Involved in the Project

|                     |                                                  |
|---------------------|--------------------------------------------------|
| Organization name   | Deloitte Advisory (Hong Kong) Limited            |
| Role in the project | Advisory for project development                 |
| Contact person      | Ma, Mac Xin                                      |
| Title               | Director                                         |
| Address             | 35/F, One Pacific Place, 88 Queensway, Hong Kong |
| Telephone           | +852 2852 1989                                   |
| Email               | macma@deloitte.com.hk                            |

### 2.1.9 Project Ownership (VCS, 3.2, 3.7, 3.10; CCB, G5.8)

The Project covers the whole 60,000 hectares of non-forest estate in the Regency of Malinau, North Kalimantan, owned by PT. Agra Inti Investama under its three subsidiaries: PT. Agra Beverindo (20,000 hectares), PT. Agra Cahaya Keumala (20,000 hectares), and PT. Agra Water Front Indonesia (20,000 hectares).

In 2007, the Regent of Malinau granted land ownership for PT. Agra Beverindo, PT. Agra Cahaya Keumala, and PT. Agra Water Front Indonesia, each through a Location Permit for Oil Palm Plantation (*Izin Lokasi untuk Perkebunan Kelapa Sawit*). The Location Permit is a permit given to business actor(s) to obtain land needed for business and/or activities, and also applies as a permit to transfer rights and to use the land for business and/or activities. Permit to conduct an oil palm plantation business was granted by the Regency of Malinau through the Oil Palm Plantation Business License (*Izin Usaha Perkebunan Kelapa Sawit*). These documents are:

- Location Permit for Oil Palm Plantation No. 471/2007 and Oil Palm Plantation Business License No. 576/2007 for PT. Agra Beverindo;
- Location Permit for Oil Palm Plantation No. 472/2007 and Oil Palm Plantation Business License No. 577/2007 for PT. Agra Cahaya Keumala; and
- Location Permit for Oil Palm Plantation No. 473/2007 and Oil Palm Plantation Business License No. 578/2007 for PT. Agra Water Front Indonesia.

Following the enactment of Act Number 11/2020 on Job Creation, the above documents were replaced by the Approval for the Suitability of Spatial Utilization (*Persetujuan Kesesuaian Kegiatan Pemanfaatan Ruang untuk Kegiatan Berusaha/PKKPR*) for oil palm plantation issued by the Regent of Malinau, as well as the Risk-Based Business License (*Perizinan Berusaha Berbasis Risiko*) for oil palm plantation issued by the Minister of Investment / Head of Indonesia Investment Coordinating Board (*Badan Koordinasi Penanaman Modal/BPKM*). These documents are:

- PKKPR No. 15062210216502006 and Risk-Based Business License No. 1506220038566 for PT. Agra Beverindo;
- PKKPR No. 16082210216502001 and Risk-Based Business License No. 1506220017971 for PT. Agra Cahaya Keumala; and
- PKKPR No. 13062210216502002 and Risk-Based Business License No. 0408220039997 for PT. Agra Waterfront Indonesia.

These licenses grant PT. Agra Inti Investama, as parent company of the three subsidiaries and as the Project Proponent, with rights to manage the lands, territories and resources within the Project Area.

In response to the growing interest in combating climate change and enhancing the value for the local area and community, the Project Proponent decided to explore the potential of shifting their business activities from logging (for oil palm plantation business purposes) to the protection of the forest area. This shift involves developing a Verra carbon credit project to support forest conservation efforts.

#### 2.1.10 Project Start Date (VCS, 3.8)

|                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Project start date | 15-Jun-2022                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Justification      | <p>The VCS Standard states that “the project start date of an AFOLU project is the date on which activities that led to the generation of GHG emission reductions or removals are implemented (e.g., preparing land for seeding, planting, changing agricultural or forestry practices, rewetting, restoring hydrological functions, or implementing management or protection plans)”. Based on the applicability of methodology VM0048/VM0007 (section 4.3.3), where the conversion of forest land to a deforested condition must be legally permitted, the REDD project for planned deforestation activity is used.</p> <p>This project start date on which the Board made the decision by the Board of Directors at a meeting convened that start conversing the planned deforestation project into the forest conservation project on 15<sup>th</sup> Jun 2022.</p> |

#### 2.1.11 Benefits Assessment and Project Crediting Period (VCS, 3.9; CCB, G1.9)

|                                               |                            |
|-----------------------------------------------|----------------------------|
| Crediting period                              | 25 years                   |
| Start date of first or fixed crediting period | 15-Jun-2022 to 14-Jun-2047 |
| CCB benefits assessment period                | 15-Jun-2022 to 14-Jun-2047 |

### 2.1.12 Differences in Assessment/Project Crediting Periods (CCB, G1.9)

No differences between the GHG emissions accounting, climate adaptive capacity and resilience, community, and/or biodiversity assessment and periods.

### 2.1.13 Project Scale and Estimated Reductions or Removals (VCS, 3.10)

☐ < 300,000 tCO<sub>2</sub>e/year (project)

☒ ≥ 300,000 tCO<sub>2</sub>e/year (large project)

| Calendar year of crediting period   | Estimated reductions or removals (tCO <sub>2</sub> e) |
|-------------------------------------|-------------------------------------------------------|
| 15-June-2022 to 31-December-2022    | 1,288,489                                             |
| 01-January-2023 to 31-December-2023 | 2,351,492                                             |
| 01-January-2024 to 31-December-2024 | 2,351,492                                             |
| 01-January-2025 to 31-December-2025 | 2,351,492                                             |
| 01-January-2026 to 31-December-2026 | 2,351,492                                             |
| 01-January-2027 to 31-December-2027 | 2,351,492                                             |
| 01-January-2028 to 31-December-2028 | 2,351,492                                             |
| 01-January-2029 to 31-December-2029 | 2,351,492                                             |
| 01-January-2030 to 31-December-2030 | 2,351,492                                             |
| 01-January-2031 to 31-December-2031 | 2,351,492                                             |
| 01-January-2032 to 31-December-2032 | 2,351,492                                             |

|                                                                 |              |
|-----------------------------------------------------------------|--------------|
| 01-January-2033 to 31-December-2033                             | 2,351,492    |
| 01-January-2034 to 31-December-2034                             | 2,351,492    |
| 01-January-2035 to 31-December-2035                             | 2,351,492    |
| 01-January-2036 to 31-December-2036                             | 2,351,492    |
| 01-January-2037 to 31-December-2037                             | 2,351,492    |
| 01-January-2038 to 31-December-2038                             | 2,351,492    |
| 01-January-2039 to 31-December-2039                             | 2,351,492    |
| 01-January-2040 to 31-December-2040                             | 2,351,492    |
| 01-January-2041 to 31-December-2041                             | 2,351,492    |
| 01-January-2042 to 31-December-2042                             | 2,351,492    |
| 01-January-2043 to 31-December-2043                             | 2,351,492    |
| 01-January-2044 to 31-December-2044                             | 2,351,492    |
| 01-January-2045 to 31-December-2045                             | 2,351,492    |
| 01-January-2046 to 31-December-2046                             | 2,351,492    |
| 01-January-2047 to 14-June-2047                                 | 1,063,003    |
| Total estimated ERRs during the first or fixed crediting period | 58,787,291   |
| Total number of years                                           | 25 years     |
| Average annual ERRs                                             | 2,351,491.64 |

#### 2.1.14 Physical Parameters (CCB, G1.3)

The below information is sourced from the Environmental Impact Assessment (EIA) reports of each of the three plots of land.

##### 1. PT. AGRA BEVERINDO ("AB")

##### *Topography*

The Project Lestari (AB) area is generally made up of plains (alluvial systems), hilly areas and mountainous areas. Plains are found around the narrow areas along the Kayan River stream, around the Kayan Selatan district. A majority (72%) of the AB land is made up of hilly areas with gentle slopes (8-15% gradient and 5-50m local relief) and moderate slopes (15-25% gradient and 50-100m local relief). 17% of the AB area is made of plains (0-8% gradient and <5m local relief). The remaining area (10.92%) is made up of mountainous areas with steep slopes (25-45% gradient and 100-300m local relief) and very steep slopes (>45% gradient and >300m local relief).

The Project Lestari area features Neogene volcanic cones (NVC), Neogene volcanic rocks (NVR), and Early Miocene rocks (EM). In the northern region, the landscape is characterized by oceanic crustal bedrock and sedimentary formations, including slate, shale, mudstone, phyllite, siltstone, metamorphic siltstone, quartz sandstone, metamorphic sandstone lithologies, and metamorphic conglomerate (KYx). Central and eastern sections of the area comprise younger volcanic rock formations, characterized by a diverse lithological composition that includes lava, breccia, agglomerate, and basalt to andesite lava breccia, alongside igneous features such as dikes, plugs, and stocks consisting of diorites, metadiorites, andesites, basalt, and plateau basalt. In the southwestern region, particularly along the Sarawak area of Malaysia, the lithological composition includes serpentinite, peridotite, gabbro, metamorphic gabbro, basalt, metamorphic basalt, metadiorite, and various metamorphic metadiorites.

## **Soil**

The types of soil found in the area are cambisol, podzol, and alluvial soils,

- Alluvial soils (Entisols) are formed from alluvium, which includes clay and sand deposits, along with claystone, phyllite, and slate. These soils are typically found in meandering areas and are characterized by a deep solum, a fine to slightly coarse texture, stratification, and excellent drainage. The soil reaction is acidic, and it exhibits low nutrient levels, base saturation, and cation-exchange capacity. Within this category, only the Tropofluvents great-group is present in the AB area.
- Cambisols (Inceptisols) originate from a diverse range of parent materials, including aluminum, sedimentary rocks (such as claystone and sandstone), and metamorphic rocks (like phyllite and slate). This results in a varied soil nature and pattern. Cambisols can be found across all landforms, exhibiting drainage that ranges from obstructed to good. They are characterized by a deep solum, moderate to fine texture, and an acidic to slightly acidic soil reaction. Base saturation and cation-exchange capacity range from low to medium, and nutrient levels are generally low. Organic carbon content varies significantly, from low to high. In this area, only the Dystropepts great-group is identified within the Cambisol category.
- Podzols (Ultisols) primarily originate from claystone, slate, and phyllite. They have a broad distribution, commonly found in hilly and mountainous regions with complex slopes at altitudes ranging from 50 to 1270 meters above sea level, often exhibiting good drainage. These soils are characterized by a deep to very deep solum (greater than 75 cm), a fine to medium texture, a lumpy structure, and a firm consistency. The soil reaction is acidic, and like the others, it has low nutrient levels, base saturation,

and cation-exchange capacity. In the AB area, two great-groups are identified under Podzols: Haplohumults (humic podzols) and Hapludults (haplic podzols), with the humic podzols containing higher organic content than their haplic counterparts.

### **Climate**

The Project Lestari (AB) area is classified under the Tropical Rainforest climate (type Af). Average monthly temperatures of the area range from 25.8°C in January to 26.4°C in October. The lowest average temperature in January can be attributed to shortest duration of solar radiation (5 hours per day) throughout the year, while higher average temperature in October can be attributed to the longest duration of solar radiation (6.2 hours per day). The relative humidity of the area ranges from 95% (October) to 97% (February). This is due to high levels of water vapor in the area, which is attributed to the evaporation of water sources around the area, i.e., vegetation and water bodies (e.g., Kayan River).

A study of rainfall patterns in the area found the maximum rainfall to be 446mm in November and the minimum to be 96mm in August. The high rainfall in November is because the air masses blowing past the area are warm and humid (west trade winds), resulting in an abundance of water vapor in the air of the area. The topography of the area also plays a role in the high rainfall in November; therefore, the type of rainfall in question is orographic rainfall. On the other hand, the low rainfall in August is due to the hot and dry air masses that blow past the area, causing a lower water vapor content in the air. In a year, the average total rainfall in ranges from 1,982 to 3,895 mm. The rainfall pattern of the area is the bimodal rainfall pattern, which is commonly found in tropical regions. In a year, the amount of rainfall occurrences range between 88 to 168 days, with 24-46% of probability of rainfall.

### **Hydrology**

The overall area is located in the Kayan River basin. The Kayan River basin has an area of 1,200 km<sup>2</sup>. The Kayan River basin is located north of the Project Lestari area, and its outlet is located before its intersection with the Paran River.

### **Vegetation**

Results of land biota analysis in the project area are divided into unlogged forest, shrubs, and heath forest. The virgin forest is divided into high-density, medium-density, and low-density forest. The land cover percentages of low-density, medium-density, and high-density areas are 14.74%, 26.49%, and 40.20%, respectively,

The following table shows the volume (m<sup>3</sup>/ha) and density (number of trees/ha) of trees with bark diameter >20cm, in the three different areas of virgin forest.

| Location          | Volume (m <sup>3</sup> /ha) |            | Tree density (N/ha) |            |
|-------------------|-----------------------------|------------|---------------------|------------|
|                   | Total (all types)           | Commercial | Total (all types)   | Commercial |
| Low-density areas | 28.44                       | 19.34      | 26.5                | 23.9       |



|                      |        |        |      |      |
|----------------------|--------|--------|------|------|
| Medium-density areas | 111.59 | 83.74  | 47.0 | 41.0 |
| High-density areas   | 195.65 | 156.62 | 66.7 | 51.2 |

The following table shows the density (number of trees/ha) of trees by bark diameter.

| Location             | Tree density (N/ha) |                  |                  |                |
|----------------------|---------------------|------------------|------------------|----------------|
|                      | 20-29cm diameter    | 30-39cm diameter | 40-49cm diameter | >50cm diameter |
| Low-density areas    | 2.2                 | 3.7              | 5.6              | 15.0           |
| Medium-density areas | 13.7                | 11.8             | 3.1              | 18.0           |
| High-density areas   | 21.5                | 16.7             | 6.4              | 22.1           |

The different levels of forest density give rise to different associations of tree types. In the low-density forest, the association is Shorea—Strombosia—Shorea with a Shannon diversity index of 1.26. In the medium-density forest, the association is Elateriospermum—Shorea—Shorea with a Shannon diversity index of 1.46. In the high-density forest, the association is Shorea—Shorea—Quercus with a Shannon diversity index of 1.56.

## 2. PT. AGRA CAHAYA KEUMALA ("ACK")

### *Topography*

The Project Lestari (ACK) area has an altitude of 150-1,000m above sea level. It is generally made up of hilly to mountainous areas. Plains are only found on terraces along river banks and narrow valleys between hills. A majority (54.65%) of the land is made up of hilly areas with gentle slopes (8-15% gradient and 5-50m local relief) and moderate slopes (15-25% gradient and 50-100m local relief). The remaining area is made up of mountainous areas with steep slopes (25-45% gradient and 100-300m local relief) and extremely steep slopes (>45% gradient and >300m local relief).

The ACK area is included in the Malinau formation that forms the Tarakan basin, which consist of late Cretaceous rocks. This includes neogene sedimentary rocks which are folded rocks under very great pressure. Sedimentary rocks, the most dominant rocks in the area, consist of sandstone, rock dust and claystone from the Pliocene and Miocene periods.

### *Soil*

Soil formation in the ACK area is significantly influenced by parent materials, topography, climate, vegetation, and time. As the main influencing factor, parent material serves as a reference for soil classification. Soil type mapping indicates that Tropodults dominate the area, comprising Typic Tropodults (chromic podzols) and Dystropepts-Tropodults (haplic podzols), with the latter accounting for 88.28% of the land. The soil is characterized by a deep solum (over 100 cm), a loam to clay loam texture, and a subangular to angular blocky structure. Permeability ranges from 0 to 19.6 cm/hour, classifying it as slow to medium.

Soil pH is acidic, ranging from 4.95 to 5.85, consistent with podzol characteristics. Organic content varies with depth, typically higher in the 0-20 cm layer compared to the 20-40 cm layer, while humus depth ranges from 5 to 10 cm. Cation-exchange capacity is between 6.74 and 31.73 me/100 grams, and base saturation ranges from 5% to 38%. Total nitrogen content is higher in the upper layer (0.1-0.2%) than in the lower layer (0.02-0.14%), attributed to organic matter weathering. Phosphorus (P) levels are very low, averaging under 1 ppm, likely due to absorption by abundant aluminum and iron in the area.

### ***Climate***

The Project Lestari (ACK) area is classified under the Tropical Rainforest climate (type Af). Temperatures in the overall land area range from 26°C to 28.6°C. The relative humidity of the area ranges from 62.8% to 77%. Specifically, the forest area has an average temperature of 26°C and a relative humidity of 77%.

A study of rainfall patterns in the area found the maximum rainfall to be 400mm in August and the minimum to be 238mm in February. Number of rain days range from 4 to 13 days per month, with an average of 9.5 days of rain per month.

### ***Hydrology***

The overall area is situated within the Kayan River basin. The flow pattern of the rivers in this region, influenced by the steep to very steep topography, results in a rapid time of concentration. The upstream area is predominantly rocky, characterized by strong currents and numerous rapids, which contribute to a heightened potential for landslides and riverbank erosion.

A groundwater balance study has revealed that the area consistently experiences a water surplus, enabling the river to flow year-round. This condition is largely attributed to the healthy and natural state of the land cover. Geologically, the presence of tuff rocks in the area facilitates effective flow absorption, allowing the aquifer to maintain a high water content. Soil analysis indicates that the constituent rocks possess a significant clay content, ensuring that the soil beneath the forest stands remains perpetually saturated with water.

The river's flow rate remains relatively stable throughout the year, thanks to continuous rainfall and the natural vegetation cover, which prevents disruption of the hydrological cycle.

### ***Vegetation***

The vertical structure of the virgin forest is divided into four strata: tree, pole, sapling, and seedling. The density (number/ha) for each strata, as well as the frequency value (spatial distribution of a tree type in a forest area) is shown in the table below.

| Plot code | Parameter           | Tree   | Pole     | Sapling  | Seedling  |
|-----------|---------------------|--------|----------|----------|-----------|
| V1        | Density (number/ha) | 221.67 | 1,920.01 | 3,626.67 | 16,625.01 |
|           | Frequency           | 0.85   | 0.81     | 0.80     | 0.78      |

|    |                     |        |        |          |           |
|----|---------------------|--------|--------|----------|-----------|
| V2 | Density (number/ha) | 343.33 | 785.01 | 4,453.33 | 10,375.65 |
|    | Frequency           | 0.75   | 0.79   | 0.72     | 0.76      |
| V3 | Density (number/ha) | 167.51 | 600.01 | 3,900.01 | 6,106.61  |
|    | Frequency           | 0.81   | 0.78   | 0.75     | 0.76      |
| V4 | Density (number/ha) | 193.75 | 800.01 | 4,150.01 | 8,640.01  |
|    | Frequency           | 0.78   | 0.75   | 0.72     | 0.76      |
| V5 | Density (number/ha) | 58.33  | 350.01 | 3,020.01 | 3,280.01  |
|    | Frequency           | 0.82   | 0.76   | 0.73     | 0.79      |
| V6 | Density (number/ha) | 96.51  | 425.67 | 3,150.33 | 6,125.04  |
|    | Frequency           | 0.79   | 0.76   | 0.73     | 0.71      |
| V7 | Density (number/ha) | 105.67 | 460.33 | 3,162.67 | 7,250.01  |
|    | Frequency           | 0.76   | 0.78   | 0.73     | 0.74      |

The virgin forest area is dominated by trees under the Dipterocarpaceae family, which is a commercial wood producing family, so this forest group can also be called the Mixed Dipterocarpaceae Tropical Rainforest. The dominant genus under this family are Shorea, Dipterocarpus, Dryobalanops, Vatica, and Anisotera. Other genus outside Dipterocarpaceae include Palaquium and Agathis.

### 3. PT. AGRA WATER FRONT INDONESIA ("AWI")

#### *Topography*

The Project Lestari (AWI) area has an altitude of 150-1,000m above sea level. It is generally made up of plains, hilly areas and mountainous areas. A majority (62.5%) of the land is made up of hilly areas with gentle slopes (8-15% gradient and 5-50m local relief) and moderate slopes (15-25% gradient and 50-100m local relief). 26.4% of the area is made of plains (0-8% gradient and <5m local relief). The remaining area (12.1%) is made up of mountainous areas with steep slopes (25-45% gradient and 100-300m local relief).

The AWI area is included in the Malinau formation that forms the Tarakan basin, which consist of late Cretaceous rocks. This includes neogene sedimentary rocks which are folded rocks under very great pressure. Sedimentary rocks, the most dominant rocks in the area, consist of sandstone, rock dust and claystone from the Pliocene and Miocene periods.

#### *Soil*

Soil formation in the AWI area is significantly influenced by parent materials, topography, climate, vegetation, and time. As the main influencing factor, parent material serves as a reference for soil classification. Soil type mapping indicates that Tropodults dominate the area, comprising Typic Tropodults (chromic podzols) and Dystropepts-Tropodults (haplic podzols), with the latter accounting for 88.28% of the land. The soil is characterized by a deep solum (over 100 cm), a loam to clay loam texture, and a subangular to angular blocky structure. Permeability ranges from 0 to 19.6 cm/hour, classifying it as slow to medium.

Soil pH is acidic, ranging from 4.95 to 5.85, consistent with podzol characteristics. Organic content varies with depth, typically higher in the 0-20 cm layer compared to the 20-40 cm layer, while humus depth ranges from 5 to 10 cm. Cation-exchange capacity is between 6.74 and 31.73 me/100 grams, and base saturation ranges from 5% to 38%. Total nitrogen content is higher in the upper layer (0.1-0.2%) than in the lower layer (0.02-0.14%), attributed to organic matter weathering. Phosphorus (P) levels are very low, averaging under 1 ppm, likely due to absorption by abundant aluminum and iron in the area.

### ***Climate***

The Project Lestari (AWI) area is classified under the Tropical Rainforest climate (type Af). Temperatures in the overall land area range from 26°C to 28.6°C. The relative humidity of the area ranges from 62.8% to 77%. Specifically, the forest area has an average temperature of 26°C and a relative humidity of 77%.

A study of rainfall patterns in the area found the maximum rainfall to be 400mm in August and the minimum to be 238mm in February. Number of rain days range from 4 to 13 days per month, with an average of 9.5 days of rain per month.

### ***Hydrology***

The overall area is located in the Kayan River basin. Based on the flow pattern of rivers in the area, which is also influenced by steep topography, the river has a fast time of concentration. The upstream area of the review is generally rocky with a strong current pattern and many rapids are found, resulting in a high potential for landslides and riverbank erosion.

A groundwater balance study has revealed that the area consistently experiences a water surplus, enabling the river to flow year-round. This condition is largely attributed to the healthy and natural state of the land cover. Geologically, the presence of tuff rocks in the area facilitates effective flow absorption, allowing the aquifer to maintain a high water content. Soil analysis indicates that the constituent rocks possess a significant clay content, ensuring that the soil beneath the forest stands remains perpetually saturated with water.

The river's flow rate remains relatively stable throughout the year, thanks to continuous rainfall and the natural vegetation cover, which prevents disruption of the hydrological cycle.

### ***Vegetation***

The vertical structure of the virgin forest is divided into four strata: tree, pole, sapling, and seedling. The density (number/ha) for each strata, as well as the frequency value (spatial distribution of a tree type in a forest area) are shown in the table below.

| Plot code | Parameter           | Tree   | Pole     | Sapling  | Seedling  |
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|           | Frequency           | 0.85   | 0.81     | 0.80     | 0.78      |
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|    |                     |        |        |          |          |
|----|---------------------|--------|--------|----------|----------|
|    | Frequency           | 0.75   | 0.79   | 0.72     | 0.76     |
| V3 | Density (number/ha) | 167.51 | 600.01 | 3,900.01 | 6,106.61 |
|    | Frequency           | 0.81   | 0.78   | 0.75     | 0.76     |
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|    | Frequency           | 0.78   | 0.75   | 0.72     | 0.76     |
| V5 | Density (number/ha) | 58.33  | 350.01 | 3,020.01 | 3,280.01 |
|    | Frequency           | 0.82   | 0.76   | 0.73     | 0.79     |
| V6 | Density (number/ha) | 96.51  | 425.67 | 3,150.33 | 6,125.04 |
|    | Frequency           | 0.79   | 0.76   | 0.73     | 0.71     |
| V7 | Density (number/ha) | 105.67 | 460.33 | 3,162.67 | 7,250.01 |
|    | Frequency           | 0.76   | 0.78   | 0.73     | 0.74     |

The virgin forest area is dominated by trees under the Dipterocarpaceae family, which is a commercial wood producing family, so this forest group can also be called the Mixed Dipterocarpaceae Tropical Rainforest. The dominant genus under this family are Shorea, Dipterocarpus, Dryobalanops, Vatica, and Anisotera. Other genus outside Dipterocarpaceae include Palaquium and Agathis.

#### 2.1.15 Social Parameters (VCS, 3.18; CCB, G1.3)

The Project Lestari Area is located across three districts under the Malinau Regency, namely Kayan Selatan, Kayan Hulu, and Kayan Hilir. The indigenous population of Malinau is primarily composed of the Dayak tribes, encompassing approximately eleven distinct groups. These include the Lun Bawang (also known as the Lundayeh), Kenyah Dayak, Kayan Dayak, Tahol, Tingalan Dayak, Punan Dayak, Abai, Berusu Dayak, Sa'ben, Tidung, and Bulungan. Additionally, there are other tribes such as the Iban Tribe, Murut Tagal Dayak, along with various immigrant communities.

#### Population and Employment

In 2023, the population of Malinau Regency reached 85,073, with a 0.03% increase from the 2022 population. The number of working age population (15 years and over) in Malinau Regency in 2023 is 64,366 people, with 47,796 in the labor force (economically active, i.e., employed or unemployed) and 16,570 not in the labor force (not economically active, i.e., attending school, housekeeping, and others). The labor force participation rate in 2023 was 74.26%. In Malinau Regency, the sector that employs the largest share of the workforce is Agriculture, Plantation, Forestry, Hunting, and Fishing, accounting for 53.27% of total employment. This is followed by the Services sector, which employs 35.59% of the labor force, while the Manufacturing sector represents 11.19%.

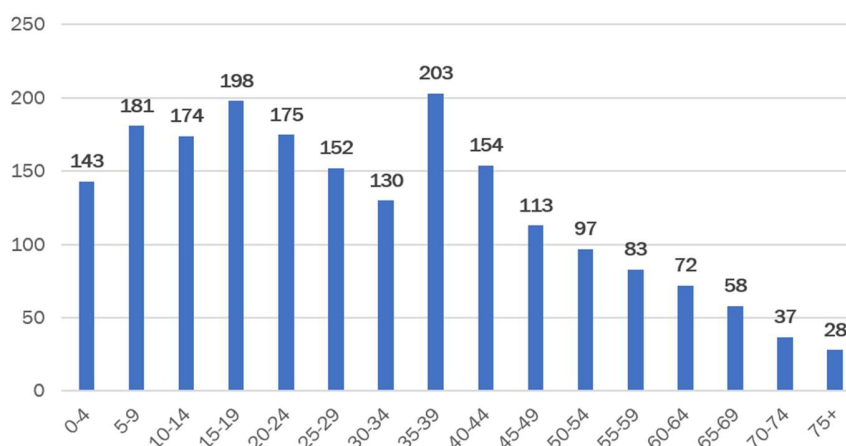
With regard to the Project Lestari Area:

- The **Kayan Selatan district** (where the project area owned by PT. Agra Beverindo is located) comprises five villages: Long Ampung, Lidung Payau, Long Uro, Sungai Barang, and Metulang. The Kayan Selatan district is organized into 13 Neighborhood Associations (Rukun Tetangga or RT), with each village averaging 2 to 3 RTs.

In 2023, the population in the Kayan Selatan district was 1,998, accounting for 2.35% of the total population of Malinau Regency, with 1,035 (51.8%) male and 963 (48.2%) female. Over 28% of the population resides in the Long Ampung Village. The village with the second largest population in this district is the Lidung Payau village with around 23% of the population. The population density in the Kayan Selatan district is 1.45 per km<sup>2</sup>. The following table shows the total population of the five villages in the Kayan Selatan District and their gender ratios in 2023.

| Villages in Kayan Selatan | Total Population | Male (%) | Female (%) |
|---------------------------|------------------|----------|------------|
| Long Ampung               | 569              | 53.1%    | 46.9%      |
| Lidung Payau              | 466              | 52.6%    | 47.4%      |
| Long Uro                  | 355              | 50.4%    | 49.6%      |
| Sungai Barang             | 315              | 49.8%    | 50.2%      |
| Metulang                  | 293              | 51.9%    | 48.1%      |

The following figure shows the population by age group in Kayan Selatan district in 2023.



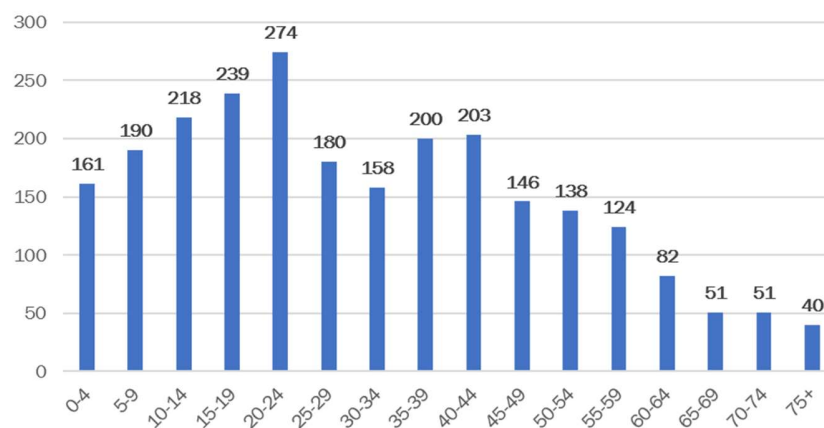
Source: Kayan Selatan District in Figures 2024

- The **Kayan Hulu district** (where the project area owned by PT. Agra Cahaya Keumala is located) comprises five villages: Long Temuyat, Nawang Baru, Long Nawang, Long Payau, and Long Betaoh. The Kayan Hulu district is organized into 20 RTs, with 8 of them located in the Nawang Baru Village.

In 2023, the population in the Kayan Hulu district was 2,455, accounting for 2.89% of the total population of Malinau Regency, with 1,275 (51.9%) male and 1,180 (48.1%) female. Over 40% of this population resides in the Long Nawang Village. The village with the second largest population is the Nawang Baru Village with over 30% of the total district population. The population density in the Kayan Hulu district is 1.24 per km<sup>2</sup>. The following table shows the total population of the five villages in the Kayan Hulu District and their gender ratios in 2023.

| Villages in Kayan Hulu | Total Population | Male (%) | Female (%) |
|------------------------|------------------|----------|------------|
| Long Temuyat           | 371              | 51.2%    | 48.8%      |
| Nawang Baru            | 747              | 51.5%    | 48.5%      |
| Long Betaoh            | 210              | 56.7%    | 43.3%      |
| Long Nawang            | 1023             | 51.2%    | 48.8%      |
| Long Payau             | 104              | 54.8%    | 45.2%      |

The following figure shows the population by age group in Kayan Hulu district in 2023.



Source: Kayan Hulu District in Figures 2024

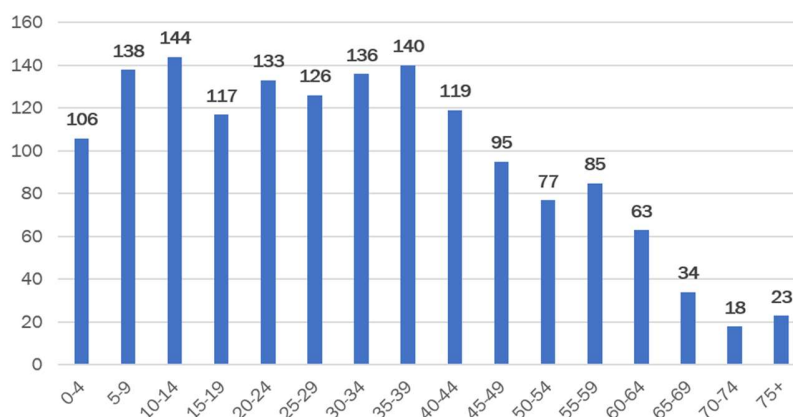
- The **Kayan Hilir district** (where the project area owned by PT. Agra Water Front Indonesia is located) comprises five villages: Long Metun, Sungai Anai, Long Sule, Long Pipa, and Data Dian. The Kayan Hilir district is organized into 15 RTs, with 5 of them located in the Long Sule Village.

In 2023, the population in the Kayan Hilir district was 1,554, accounting for 1.83% of the total population of Malinau Regency, comprising 872 (56.1%) male and 682 (43.9%) female. Long Sule Village emerged as the most populous area, accounting for 33% of the district's total population. Following closely is Data Dian Village, which represents over 24% of the overall population in the district. The population density in the Kayan Hilir district is 0.14 per km<sup>2</sup>. The following table shows the total population of the five villages in the Kayan Hilir District and their gender ratios in 2023.

| Villages in Kayan Hilir | Total Population | Male (%) | Female (%) |
|-------------------------|------------------|----------|------------|
| Long Sule               | 528              | 56.4%    | 43.6%      |
| Data Dian               | 371              | 55.3%    | 44.7%      |
| Long Pipa               | 362              | 53.0%    | 47.0%      |
| Sungai Anai             | 170              | 56.5%    | 43.5%      |
| Long Metun              | 123              | 65.9%    | 34.1%      |

The following figure shows the population by age group in Kayan Hilir district in 2023.





Source: Kayan Hilir District in Figures 2024

### Economic Activities

Economic activities in the Malinau Regency are dominated by three main sectors, namely mining and excavation (60.51% of Malinau's GDP), construction (11.94%), and agriculture, forestry and fisheries (8.61%).

In the Kayan Selatan, Kayan Hulu and Kayan Hilir districts, economic activities are heavily dependent on agriculture, such as plantations and subsistence farming. In addition, activities such as mining and forest management also affect the local economy. The main vegetable commodities of these districts include chilli/cayenne pepper, spinach, and Chinese cabbage/mustard greens. The seasonal vegetable with the largest production in the three districts is chilli/cayenne pepper. With regard to annual fruit crops data, the fruit commodities with the highest production include bananas, lanzones, jackfruits, pineapples, and mangoes. Bananas are the commodity with the highest production across the three districts.

### Social and Welfare

With regard to religious beliefs, in the Malinau Regency, Christianity, particularly Protestantism and Catholicism, is the predominant religion. The religious compositions of the Kayan Selatan, Kayan Hulu, and Kayan Hilir districts are as follows:

- Kayan Selatan district: 59.1% of the population identifies as Protestant, 39% as Catholic, while the remainder practices Islam.
- Kayan Hulu district: Over 98% of the population identifies as Protestant, with the remaining population consisting of Catholics and Muslims, each representing 0.85%.
- Kayan Hilir district: Over 97% of the population identifies as Protestant, 2.47% as Catholic, while the remaining 0.46% practices Islam.

With regard to educational level, the following table illustrates the educational level of the working age population (15+) in the overall Malinau regency:



| Highest Education Attained | Working-age Population |                         | Total and %          |
|----------------------------|------------------------|-------------------------|----------------------|
|                            | Economically Active    | Not Economically Active |                      |
| Primary School and below   | 17,112                 | 5,183                   | 22,295 (34.64%)      |
| Junior High School         | 6,741                  | 5,950                   | 12,691 (19.72%)      |
| Senior High School         | 15,149                 | 4,924                   | 20,073 (31.19%)      |
| University/College         | 8,794                  | 513                     | 9,307 (14.46%)       |
| <b>Total</b>               | <b>47,796</b>          | <b>16,570</b>           | <b>64,366 (100%)</b> |

The table above indicates that 34.64% of the working-age population in Malinau Regency has completed only primary school or lower as their highest level of education. Additionally, 31.19% have attained senior high school, while 19.72% have reached junior high school. Lastly, 14.46% of the population holds a college degree.

With regard to poverty levels, the percentage population below the poverty line in Malinau Regency in 2024 was 6.94% or approximately 6.45 thousand people. This is measured against the poverty line of Rp791,037/capita/month in 2024.

#### 2.1.16 Project Zone Map and Project Location (VCS, 3.11, 3.18; CCB, G1.4-7, G1.13, CM1.2, B1.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 2.1.17 Project Activities and Theory of Change (VCS, 3.6; CCB, G1.8)

The Lestari Project Area encompasses a total expanse of 60,000 hectares which were initially slated for logging operations and subsequent conversion to oil palm plantation. Presently, however, the intention is to conserve and safeguard the entire Project Area.

The Lestari Project entails the execution of conservation strategies to prevent the planned deforestation within the Project Area. Since there will be no felling of trees as per the land-use change authorizations, the forest will be preserved in its natural state. The region will not be transformed into agricultural land, thus ensuring a consistent habitat for flora and fauna.

The project incorporates forest protection measures such as the recruitment and oversight of surveillance teams to monitor any suspicious activities, as well as the deterrence of unauthorized entry into the project area. Additional mitigation efforts proposed by the project to avert planned deforestation include enhanced monitoring of the area, mapping local deforestation trends, forging partnerships with educational and research institutions, and offering benefits to adjacent communities. The aim is to reduce deforestation by providing alternative sources of income, educational opportunities, and vocational training. Through the execution of these project activities, Project Proponent is working in conjunction with the local community to halt deforestation in their forested regions.

Utilizing the United Nations Sustainable Development Goals (UNSDGs), the ongoing initiative strives to augment and measure its social and environmental impacts, benefiting the local population alongside forest conservation. The application of UNSDGs ensures that carbon initiatives' contributions to sustainable development are purposeful and directed. Comprising UNSDGs, these mechanisms prioritize the enhancement of the project region's biodiversity, natural resources, economic stability, human capital, social welfare, and carbon assets, all aimed at improving the social and environmental conditions within the project area.

Adopting the mechanisms of the UNSDGs promotes sustainable development through the conservation of forests. This approach not only maintains the stability of carbon stocks but also reduces the need for timber sourced from other forested areas. By doing so, it is possible to achieve both the preservation of biodiversity and the enhancement of the local economy. Further information regarding the specific activities of the project and the anticipated outcomes is provided below:

#### Curbing emissions resulting from deforestation and forest deterioration

The cessation of scheduled deforestation, coupled with the preservation and potential restoration of carbon reservoirs, is expected to result in overall net decreases in greenhouse gas emissions.

| Activity description                                                                                         | Expected climate, community, and/or biodiversity |                                                                                                                                                                                                                                  |                                                                                                                                                                   | Relevance to project's objectives                                                                                                                                                                                                                          |
|--------------------------------------------------------------------------------------------------------------|--------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                              | Outputs (short term)                             | Outcomes (medium term)                                                                                                                                                                                                           | Impacts (long term)                                                                                                                                               |                                                                                                                                                                                                                                                            |
| Initiate collaboration with landowners to discourage deforestation and encourage forest preservation efforts | Securing formal contracts has been accomplished  | The REDD project has undergone successful validation and verification, leading to the creation of authenticated verified carbon units (VCUs). Furthermore, the project provides backing to initiatives led by local communities. | Playing a role in the reduction of greenhouse gas (GHG) emissions, advocating for the preservation of forests, and aiding in the advancement of community growth. | Addressing global climate change and ensuring forest conservation. The securing of signed agreements with landowners is in direct alignment with these goals, as it involves proactive efforts to decrease emissions and protect areas covered by forests. |

### Enhancing community health and wellness

The project endeavors to advance community health indicators, boost overall well-being, and fortify the community against health and climate-related adversities by introducing health education initiatives, setting up local medical facilities, and guaranteeing access to clean water and energy. These endeavors are in harmony with the project's goals of fostering sustainable development and supporting human well-being within the framework of forest preservation.

| Activity description                                                                                                                                                                | Expected climate, community, and/or biodiversity                                                                                                                                                                                                            |                                                                                                                                                       |                                                                                                                                                                    | Relevance to project's objectives                                                                                                                                         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                                     | Outputs (short term)                                                                                                                                                                                                                                        | Outcomes (medium term)                                                                                                                                | Impacts (long term)                                                                                                                                                |                                                                                                                                                                           |
| Initiation of Health Education Initiatives - Conducting health education programs that concentrate on subjects including nutrition, hygiene, and the prevention of diseases.        | Heightened understanding of health concerns and enhanced hygienic practices in the community have been achieved through the distribution of educational resources and the conducting of workshops.                                                          | The embrace of healthier behaviour and practices by community members has resulted in enhanced general health and wellness throughout the population. | Strengthened community capacity to face health-related difficulties and an upgraded standard of living.                                                            | Support the comprehensive goal of sustainable development and underscore the significance of human welfare within the sphere of forest preservation.                      |
| Establishment of Pure Water Systems and Stable Energy Provision - Instigating processes for the delivery of clean water and securing dependable energy resources for the community. | Enhanced availability of clean water via the installation of water purification systems or the advancement of infrastructure. Furthermore, an upgraded energy supply has been achieved through the adoption of sustainable and dependable energy resources. | Elevated standards of hygiene and better living circumstances, which have led to a decrease in waterborne illnesses.                                  | Enhanced public health within the community and a bolstered capacity to withstand climate-related difficulties, culminating in a superior general quality of life. | Focus on key elements of community health and vitality, aligning with the aims of sustainable development and emphasizing the significance of environmental preservation. |

### Community Prosperity

The project is designed to produce various immediate outcomes, among them a rise in job opportunities, an influx of tourists, and advancements in infrastructure, by engaging residents of the local community, advocating for eco-tourism, backing micro and small-scale enterprises, and progressing with infrastructural developments. These immediate results are instrumental in achieving intermediate benefits like augmented financial prosperity, conservation of cultural heritage, and an upgrade in the standard of living. In the grand scheme, the enduring effects of the project are anticipated to be bettered means of earning a living, sustained economic expansion, and a strengthened ability of the community to adapt and thrive.

| Activity description                                                                                                                                                                      | Expected climate, community, and/or biodiversity                                                                                            |                                                                                                    |                                                                                                                        | Relevance to project's objectives                                                                                                         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                                           | Outputs (short term)                                                                                                                        | Outcomes (medium term)                                                                             | Impacts (long term)                                                                                                    |                                                                                                                                           |
| Incorporation of Local Community in Employment - Granting job opportunities to the residents of the local community through the project.                                                  | Rise in job opportunities and income for locals via roles associated with the project.                                                      | Augmented financial prosperity and a decline in the level of unemployment among community members. | Upgraded means of sustenance, diminished levels of poverty, and heightened economic resilience within the community.   | Contribute substantially to the goal of fostering equitable and enduring economic advancement.                                            |
| Support for Micro and Small Enterprises - Offering assistance and resources to foster the growth of micro and small businesses engaged in agriculture, animal husbandry, and aquaculture. | Rise in the formation and functioning of micro- and small enterprises within the sectors of agriculture, animal husbandry, and aquaculture. | Enhanced earnings potential, job creation, and food stability for the community.                   | Strengthened economic stability, diminished poverty levels, and an elevated degree of food autonomy for the community. | Support the goal of fostering sustainable and equitable economic advancement, concurrently addressing the requirements for food security. |
| Construction of Infrastructure - Building essential structures, including roads and residential buildings, within                                                                         | Enhanced connectivity via road construction and better living standards achieved through the supply of new                                  | Augmented connectivity, advanced transport facilities, and enhanced quality                        | Simulated economic activities, heightened social unity, and enhanced the standard of living for                        | Foster economic expansion, enhance the quality of life, and back the comprehensive                                                        |

|                              |                             |                               |                                 |                            |
|------------------------------|-----------------------------|-------------------------------|---------------------------------|----------------------------|
| the designated project zone. | homes or home improvements. | of life within the community. | the residents of the community. | progress of the community. |
|------------------------------|-----------------------------|-------------------------------|---------------------------------|----------------------------|

### Educational Advancement and Community Growth

The project's objective is to foster immediate results through the establishment of educational facilities, including schools and libraries, the distribution of scholarships, and the conducting of training sessions. These efforts are geared towards accomplishing immediate goals such as the creation of infrastructure, the granting of scholarships, and the engagement in training programs. These immediate achievements are instrumental in realizing intermediate benefits like augmented access to educational resources, advanced digital proficiency, and enriched knowledge and competencies. In the grand scheme, the enduring effects are anticipated to be better educational prospects, a rise in human capital, and the promotion of sustainable progress within the community.

| Activity description                                                                                                                                             | Expected climate, community, and/or biodiversity                                                                                                                                                           |                                                                                                                               |                                                                                                                                                      | Relevance to project's objectives                                                                                                                                                          |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                  | Outputs (short term)                                                                                                                                                                                       | Outcomes (medium term)                                                                                                        | Impacts (long term)                                                                                                                                  |                                                                                                                                                                                            |
| Offering instruction and seminars on a range of subjects including sustainable development, fire resistance, fire suppression, and Community-Based Conservation. | Engagement in educational training sessions and workshops focused on sustainable development, methods of fireproofing, techniques for firefighting, and practices related to Community-Based Conservation. | Enhanced understanding and proficiency in eco-friendly practices, fire protection, and community-driven conservation efforts. | Strengthened environmental management, elevated readiness for disasters, and augmented participation from the community in conservation initiatives. | Foster skill enhancement, dissemination of knowledge, and strengthening of community autonomy, in line with the goals of achieving sustainable development and preserving the environment. |

### Monitor of Biodiversity in the Designated Project Zone

The core objective of the Project is the preservation of biodiversity, which includes a wide array of life forms such as mammals, birds, reptiles, amphibians, fish, mollusks, invertebrates, and vegetation. To maintain the biodiversity within the project's scope, we are committed to preventing deforestation through partnerships with local communities aimed at conserving forests. For the purpose of monitoring biodiversity within the project area effectively, we will deploy motion-activated wildlife cameras to record

medium to large fauna. Additionally, the Integrated Biodiversity Assessment Tool (IBAT) will be used in this process.

| Activity description                          | Expected climate, community, and/or biodiversity                                                      |                                                                            |                                                                     | Relevance to project's objectives                         |
|-----------------------------------------------|-------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|---------------------------------------------------------------------|-----------------------------------------------------------|
|                                               | Outputs (short term)                                                                                  | Outcomes (medium term)                                                     | Impacts (long term)                                                 |                                                           |
| Avoid deforestation and monitor biodiversity. | Determine camera models; pinpoint local biologists; create a research plan utilizing wildlife camera. | Images of medium-to-large sized mammals; a revised IBAT assessment report. | Heightened recognition of the biodiversity within the project area. | Cease deforestation activities to safeguard biodiversity. |

### 2.1.18 Sustainable Development Contributions (VCS, 3.17)

To align with Indonesia's National Strategic Projects (PSNs) scheme, focusing on "Prevention, Reduction of Pollution, and Climate Change," "Biodiversity, Conservation, and Natural Resources Management," "Public, Health, Safety, and Security", and "Social and Environmental Management", the project integrates environmental, social, governance, and economic advantages, resonating with multiple United Nations Sustainable Development Goals (UNSDGs). Particularly, the project follows UNSDGs in Indonesia, building a nation that is prosperous, democratic, and just, where development benefits all people, and where the rights of future generations are protected. Its objectives include mitigating deforestation, thereby protecting vital forest ecosystems and biodiversity, specifically targeting SDG 15: Life on Land. The conservation of these forests ensures habitat security for threatened species, such as the orangutan and toucan, in alignment with SDG 15.5.

The project also maintains crucial ecosystem services, including water regulation and carbon sequestration, which bolster the fight against climate change, corresponding with SDG 13: Climate Action. By diminishing greenhouse gas emissions, the project supports SDG 13.2's call for climate change strategies to be incorporated into national policies.

From a social perspective, the project has a profound impact on local communities, where forest-dependent languages and cultures are preserved through the protection of these natural landscapes. This conservation effort upholds cultural heritage (SDG 11: Sustainable Cities and Communities) and promotes sustainable livelihoods via responsible forest management. Carbon credit revenues can be directed towards community development, such as improving education (SDG 4), healthcare (SDG 3), and infrastructure (SDG 9).

Moreover, the project fosters sustainable development by encouraging practices like agroforestry and ecotourism, offering community members alternative incomes while conserving forests (SDG 8: Decent Work and Economic Growth). It also strives to provide clean water (SDG 6: Clean Water and Sanitation)

and renewable energy solutions, such as solar power, to enhance access to electricity (SDG 7: Affordable and Clean Energy).

Addressing the forestry sector's challenges, such as illegal logging and corruption, the project advocates for sustainable forest management and transparency (SDG 16: Peace, Justice, and Strong Institutions). It empowers various stakeholders, including women and young people, by involving them in decision-making and project-related activities, thus promoting social cohesion, reducing conflicts, and enhancing governance (SDG 5: Gender Equality, SDG 10: Reduced Inequalities, SDG 16.7).

Economically, the project enables the generation of revenue for development, infrastructure, education, and health services (SDG 8), creating employment in forest conservation and management, alleviating poverty (SDG 1: No Poverty), and fostering economic growth in line with Indonesian vision of prosperity by 2050.

A dedicated monitoring team will be established, or external experts will be contracted, to ensure precise data gathering and reporting. Findings will be disseminated to stakeholders, including governmental bodies and local communities, with ongoing dialogue to incorporate their feedback. These actions are designed to promote transparency, accountability, and effective monitoring of the project's contributions to the pursuit of sustainable development goals.

#### 2.1.19 Implementation Schedule (CCB, G1.9)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 2.1.20 Risks to the Project (CCB, G1.10)

| Identified Risk                                        | Potential impact of risk on climate, community and/or biodiversity benefits                                                                                                                                                                                                                   | Actions needed and designed to mitigate the risk                                                                                                                             |
|--------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Increase in rainfall and floods<br>(Natural-induced)   | Climate change has led to increased rainfall and flooding in project area, posing significant threats to forests, with potential damage from landslides and tree collapses. The rising trend in hydro-meteorological disasters endangers forest health and carbon sequestration capabilities. | The project will enhance forest management practices to ensure healthier and more robust ecosystems that can recover quickly from natural disasters.                         |
| Temperature Increases and Drought<br>(Natural-induced) | Global warming has led to higher temperatures and more frequent droughts in project area. This can exacerbate forest degradation and reduce tree growth rates, impacting the forest's ability to store carbon.                                                                                | The project will enhance forest resilience through selecting and planting tree species that are adapted to local conditions and capable of withstanding extreme hot weather. |



|                                                              |                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                     |
|--------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Wildfires<br>(Human-induced)                                 | The indigenous communities within the project zone commonly employ fire as a method for managing the landscape. Such fires, especially when they occur in the forest during times of drought, have the potential to compromise the climatic advantages that the project aims to achieve.                                        | The project will provide support in preventing and controlling wildfires. This support entails offering training and certification, as well as equipping and training volunteer fire departments, and acquiring necessary equipment for combating forest fires.                                                     |
| Unavoidable<br>Unplanned<br>deforestation<br>(Human-induced) | Communities with traditional practices in the project region often push for deforestation to make way for additional pastures or plantations. Although these activities are generally on a small scale and have a limited immediate impact, they can gradually erode the expected climatic advantages of the project over time. | The project is set to advance sustainable land utilization practices, along with providing training and capacity enhancement programs. Its goal is to improve forest management, thereby boosting community productivity and alleviating the strain on forest resources.                                            |
| Political<br>(Human-induced)                                 | Some stakeholders involved in the project may rally against the execution of project initiatives based on their individual interests, which could potentially undermine the communal advantages that the project is intended to deliver.                                                                                        | The project adheres to a specific protocol for social interaction that encompasses a phase focused on securing free, prior, and informed consent from stakeholders. Additionally, it involves establishing mechanisms for ongoing dialogue and includes a process for addressing grievances and providing remedies. |

### 2.1.21 Benefit Permanence (CCB, G1.11)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.1.22 Financial Sustainability (CCB, G1.12)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.



## 2.2 Without-project Land Use Scenario and Additionality

### 2.2.1 Conditions Prior to Project Initiation and Land Use Scenarios without the Project (VCS, 3.13; CCB, G2.1)

The Lestari Project, located within Malinau Regency, North Kalimantan Province, Indonesia, is renowned for its extensive tropical rainforests, which are characterized by high biodiversity and complex ecological networks. The region's ecosystem primarily consists of lowland and montane rainforests, supporting a wide array of flora and fauna, including endangered species such as the orangutan, clouded leopard, and various bird and amphibian species. Malinau Regency experiences a tropical rainforest climate (Köppen Af), marked by warm temperatures (20°C to 32°C), high humidity (75% to 85%), and substantial annual precipitation (over 2000 mm).

The Lestari Project area has historically been a natural forest, maintaining its forested state over time with minimal human disturbance. Currently, the area continues to be predominantly forested, serving as a critical habitat for local biodiversity and playing a vital role in carbon sequestration and watershed protection.

#### **Ecosystem type of the project area:**

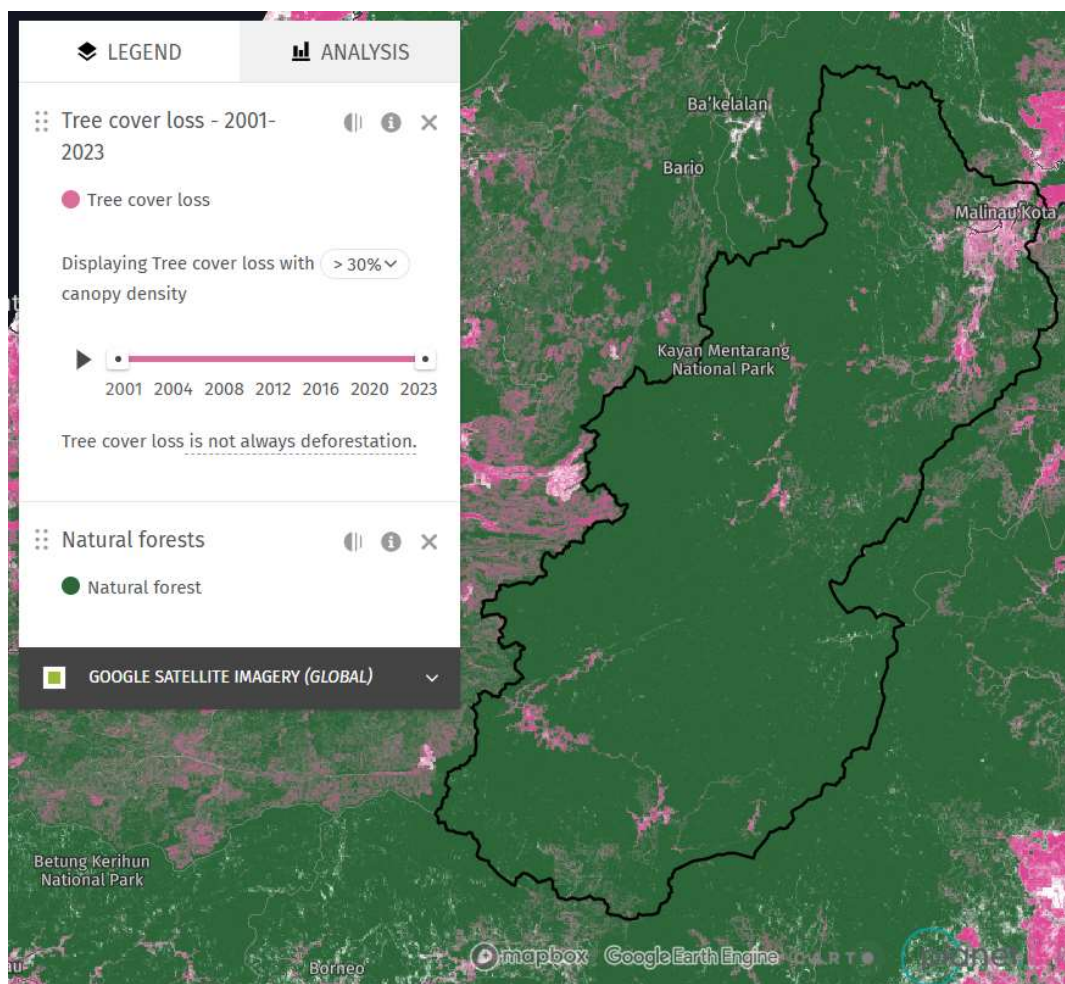
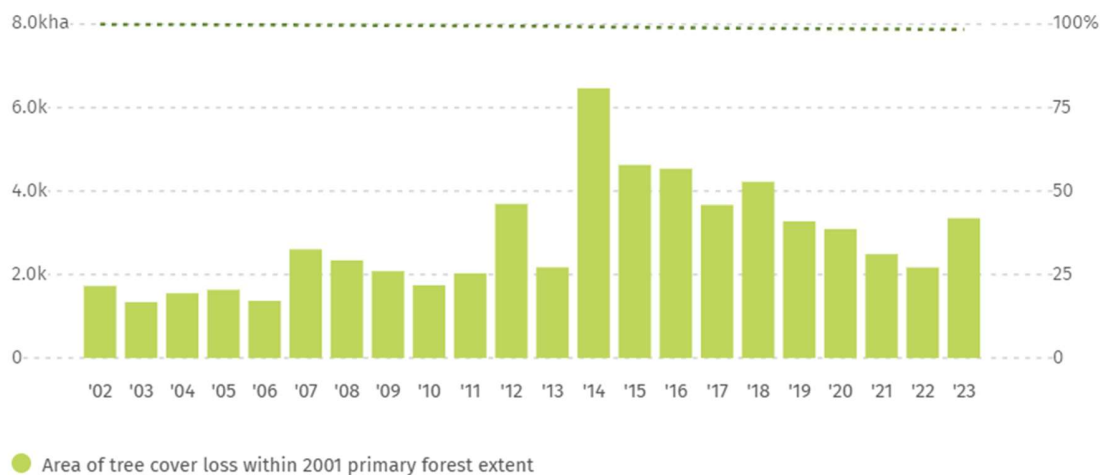
The ecosystem of Malinau Regency is primarily composed of lowland and montane tropical rainforests, characterized by high biodiversity and complex ecological networks that support a wide array of flora and fauna, including numerous endangered species.

#### **Current and historical land-use of the project area:**

A formal approval, Logging concessions, to the working plan of logging activities under the project area had been issued. The approval document holder clear-cuts a forest and establishes a large-scale agriculture enterprise. This scenario depicts the most enforceable action that a project agent can do, making it plausible and realistic. Before the Lestari Project, the forest in this area was at risk of being cleared, followed by large-scale planting of cash crops (e.g., palm). The project's mitigation measures to prevent planned deforestation will be implemented by stepping up local surveillance, mapping local deforestation patterns, forming collaborations with educational and research institutions, and offering advantages to neighbouring communities with the aim of minimizing deforestation by providing alternative income, better social services and facilities, education, and professional training. For more details, please refer to Section 3.1.4.

Logging poses a threat to these woods, the biodiversity they contain, and the local population, according to historical evidence. As mentioned above, industrial logging is the primary land use, which is supported by the scientific literature and remote sensing observations. The most likely outcome in the absence of the project is ongoing logging near accessible areas, followed by the expansion of the road system deep into the interior and upwards of the mountains. From 2001 to 2023, Malinau lost 98.8 kha of tree cover, equivalent to a 2.5% decrease in tree cover since 2000, and 70.0 Mt of CO<sub>2</sub>e emissions. From 2002 to 2023, Malinau lost 62.2 kha of humid

primary forest, making up 65% of its total tree cover loss in the same time period. Total area of humid primary forest in Malinau decreased by 1.6% in this time period. (Global Forest Watch)<sup>2</sup>.



<sup>2</sup> GLOBAL FOREST WATCH:  
[Interactive World Forest Map & Tree Cover Change Data | GFW](https://www.globalforestwatch.org/)

Source: *The Global Forest Watch (GFW) Platform Online.*

### **Present and prior environmental conditions of the project area:**

The Project area is generally situated at an elevation of 500 meters above sea level, with varying slopes ranging from 15% to moderately undulating terrain of 30%, and flat areas primarily located along the banks of the Kayan River and former shifting cultivation areas used by the community. The area is home to various species of plants and natural trees with varying trunk diameters. The vegetation remains dense, particularly in areas farther from the riverbanks.

Overall, the soil condition and types at the site are predominantly composed of sedimentary materials, including alluvial deposits formed from sediments. The prevailing soil type is red-yellow podzolic soil. This soil is largely conducive to the healthy growth of various plant species. The topsoil thickness exceeds 20 cm, and both surface and subsurface drainage are generally good.

Rainfall ranges from 2,000 mm to 3,500 mm with no distinct dry months and a consistent distribution throughout the year. The air temperature varies from a minimum of 20°C to a maximum of 32°C.

More details are provided in Section 2.1.14: Physical Parameters.

#### **2.2.2 Most-Likely Scenario Justification (CCB, G2.1)**

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### **2.2.3 Community and Biodiversity Additionality (CCB, G2.2)**

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### **2.2.4 Benefits to be used as Offsets (CCB, G2.2)**

None.

### **2.3 Safeguards and Stakeholder Engagement**

#### **2.3.1 Stakeholder Identification (VCS, 3.18, 3.19; CCB G1.5)**

The Stakeholder Engagement Plan of Lestari details the tactics and methods for involving various stakeholders in the project. It is designed to guarantee that stakeholders are inclusively and effectively involved across the entire lifecycle of the project and to create transparent communication pathways that enable the exchange of information, partnership, and feedback.

We have pinpointed and classified the stakeholder groups pertinent to the project, including project proponent, government agencies and policymakers, local communities and indigenous

populations, non-governmental organizations (NGOs), research institutions, and academic entities, among others. Subsequently, a stakeholder analysis was carried out to comprehend their interests, influence, and the potential effects they could have on the project. We also identified key individuals or organizations within each stakeholder category that necessitate specific engagement.

Once the stakeholders and areas of impact were recognized, the project proponents embarked on a series of consultations and engagements. This entailed outreach efforts to collect stakeholders' insights, worries, and viewpoints regarding the project. Consultative methods involved gatherings, workshops, interviews, surveys, and focus groups, aiming to afford all relevant stakeholders the chance to voice their opinions and contribute to the project's design and execution.

Engaging with stakeholders is a continual process that necessitates consistent observation and feedback. As the project advances, new stakeholders might surface, and the concerns and priorities of current stakeholders may evolve. Routine communication and feedback mechanisms are put in place to ensure ongoing stakeholder participation and to keep them updated on the project's advancements, while also addressing any new concerns or issues that arise.

### 2.3.2 Stakeholder Descriptions (VCS, 3.18, 3.19; CCB, G1.6, G1.13)

| Stakeholder     | Rights, interest, and overall relevance to the project                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Local community | <p><b>Right:</b></p> <ul style="list-style-type: none"> <li>the right to a clean and healthy environment</li> <li>the right to receive information and be engaged in discussions regarding decisions that impact their community</li> <li>the right to partake in the advantages afforded by the project</li> </ul> <p><b>Interest:</b></p> <ul style="list-style-type: none"> <li>conservation of forests</li> <li>community welfare</li> <li>sustainable livelihoods</li> <li>development of capacities</li> <li>participation in decision-making processes</li> </ul> <p><b>Overall Relevance:</b><br/> The involvement of the local community is vital to the achievement of the project's objectives. Their enthusiastic participation, endorsement, and involvement are imperative for the successful conservation of forests and the advancement of sustainable livelihood programs. Honouring their rights, addressing any issues they may have, and guaranteeing that they reap rewards from the project are key to fostering favourable relationships with the community.</p> |

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|-------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Project proponent             | <p>Right:</p> <ul style="list-style-type: none"> <li>the right to develop and implement the project in accordance with applicable laws and regulations.</li> <li>the right to a fair return on investment</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>emission reductions</li> <li>financial viability</li> <li>stakeholder engagement</li> <li>reputation management</li> </ul> <p>Overall Relevance:</p> <p>The project proponent is responsible for the successful implementation of the project. They provide the necessary resources, coordination, and management expertise. Ensuring compliance with regulations, engaging stakeholders effectively, and achieving emission reduction targets are key priorities. The project proponent's commitment and accountability are essential for the project's credibility and long-term sustainability.</p>                                                                                                                                                                                                                                                                                                                              |
| Malinau Regency government    | <p>Right:</p> <ul style="list-style-type: none"> <li>the right to engage in the decision-making procedures associated with the project</li> <li>the right to obtain information concerning the project's operations and its effects</li> <li>the right to champion the concerns and interests of the local community</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>sustainable development</li> <li>community well-being</li> <li>environmental/forest preservation</li> <li>economic prospects and revenue generation</li> <li>capacity/capability building</li> <li>poverty alleviation</li> <li>advancement of infrastructure</li> </ul> <p>Overall Relevance:</p> <p>The local government at the Regency level, acting as the voice for the local community, fulfils a pivotal function within the project. It participates in the formulation of policies, the planning of land usage, and the orchestration of local developmental endeavours. Guaranteeing that their rights are honoured, incorporating them into the project's decision-making process, and addressing any issues they raise is essential for the successful execution and the achievement of lasting results.</p> |
| Indonesia National Government | <p>Right:</p> <ul style="list-style-type: none"> <li>the right to engage in the decision-making procedures associated with the project</li> <li>the right to access details and updates pertaining to the project</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |

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|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>the right to promote national interests and policies</li> <li>the right to implement and uphold environmental legislation and regulations</li> <li>the right to monitor the conservation of biodiversity and to safeguard Indonesia's natural resources.</li> <li>the right to manage and govern forest resources</li> <li>the right to grant logging permits and to supervise the application of sustainable forest management techniques</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>forest preservation</li> <li>climate change mitigation</li> <li>sustainable development</li> <li>adherence to international agreements</li> <li>revenue generation</li> <li>enhancement of capacities</li> </ul> <p>Overall Relevance:<br/>The Indonesia National Government plays a pivotal role in the initiative, bearing the responsibility for establishing national policies, enacting regulations, and honouring international obligations pertaining to the preservation of forests and the mitigation of climate change. Working in concert with the national government, taking their interests into account, and synchronizing the project with national objectives are indispensable for maintaining policy consistency, acquiring financial and technical backing, and guaranteeing the enduring success of the project.</p> |
| <p>Deputy for Climate Change Control and Governance of Carbon Economic Value (<i>Deputi Bidang Pengendalian Perubahan Iklim dan Tata Kelola Nilai Ekonomi Karbon</i>)</p> <p>(Under the Ministry of Environment)</p> | <p>Right:</p> <ul style="list-style-type: none"> <li>formulation and implementation of climate change policies and initiatives within Indonesia</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>GHG emissions reductions and climate change mitigation</li> <li>Resource mobilization for climate change actions</li> <li>Control of forest and land fires</li> <li>Support environmental and forestry development goals</li> <li>Conduct GHG inventories</li> </ul> <p>Overall Relevance:<br/>The Deputy for Climate Change Control and Governance of Carbon Economic Value, sitting under the Ministry of Environment, fulfils a vital function in crafting policies, offering technical proficiency, and supervising the execution of the project in Indonesia. They guarantee that the project is in harmony with the national strategies for climate change and supports the nation's climate objectives.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Ministry of Environment /                                                                                                                                                                                            | <p>Right:</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |



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|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Environmental Management Agency<br/>(Kementerian Lingkungan Hidup dan Badan Pengendalian Lingkungan Hidup) – Indonesia</p> | <ul style="list-style-type: none"> <li>• formulation and establishment of policies for sustainable environmental and natural resource management, waste management, pollution control, and climate change control</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>• greenhouse gas reductions and climate change mitigation</li> <li>• NDC target implementation</li> <li>• biodiversity conservation</li> <li>• advancing sustainable development</li> <li>• prevention of peat and mangrove degradation</li> </ul> <p>Overall Relevance:</p> <p>The MoE provides regulatory oversight and policy guidance to ensure successful implementation of the project. It ensures compliance with environmental laws and standards, thereby safeguarding ecological integrity. Additionally, the ministry facilitates stakeholder engagement and coordination among various sectors, promoting collaboration among relevant parties. Its support for integrating climate change initiatives into forestry practices further enhances the project's effectiveness in contributing to sustainable land use and carbon management.</p> |
| <p>Ministry of Forestry<br/>(Kementerian Kehutanan) – Indonesia</p>                                                           | <p>Right:</p> <ul style="list-style-type: none"> <li>• formulation and establishment of policies for forest area stabilization and conservation of natural resources and ecosystems</li> <li>• oversight of forestry initiatives</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>• implementing sustainable practices in forest management</li> <li>• enhance resilience of river basins and rehabilitate forests</li> <li>• promote sustainable forest management</li> <li>• enhance human resource development in the forestry sector</li> </ul> <p>Overall Relevance:</p> <p>The MoF is vital to the project as it formulates and implements essential policies for sustainable forest management and conservation, ensuring that projects align with national objectives. Its provides technical guidance and supervision to foster effective policy execution. Additionally, the ministry's enforcement of forestry laws ensures compliance, further supporting the project's integrity and success in achieving its objectives</p>                                                                                     |
| <p>NGOs</p>                                                                                                                   | <p>Right:</p> <ul style="list-style-type: none"> <li>• the right to champion environmental preservation, community involvement, and the defence of local entitlements and welfare.</li> </ul> <p>Interest:</p> <ul style="list-style-type: none"> <li>• fostering environmental durability, societal fairness, the empowerment of local communities, and inclusive decision-making procedures</li> </ul> <p>Overall Relevance:</p> <p>NGOs guarantee the protection of local communities' rights, aid in orchestrating consultations among stakeholders, and contribute to capacity enhancement for the proficient execution of the project.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

|                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Research & Educational Institutions | <p><b>Right:</b></p> <ul style="list-style-type: none"> <li>the right to carry out scientific inquiries, offer technical proficiency, and instruct stakeholders on the principles of sustainable forest management and the implications of climate change</li> </ul> <p><b>Interest:</b></p> <ul style="list-style-type: none"> <li>producing knowledge</li> <li>undertaking research</li> <li>fostering capacity development</li> <li>promoting decision-making grounded in evidence</li> </ul> <p><b>Overall Relevance:</b><br/> Institutes dedicated to research and education play a role in the project by carrying out investigations into forest carbon reserves, biodiversity, and socio-economic effects. They offer technical direction, training schemes, and forums for knowledge exchange, which stimulate innovation and assist stakeholders in making well-informed choices.</p> |
|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### 2.3.3 Stakeholder Access to Project Documents (VCS, 3.18, 3.19; CCB, G3.1)

Throughout the phases of project development and execution, project proponent will ensure that all documentation pertaining to the project, including detailed project descriptions, monitoring reports, and associated supportive materials, is readily accessible to all impacted and concerned stakeholders. Informational booklets and brochures will be produced to offer a concise overview of the project, promoting straightforward comprehension and the efficient dissemination of essential project details. The project incorporates several strategies to aid communication and guarantee the availability of information:

#### 1) Printed Documentation

Relevant project documents will be provided in physical form within the premises of the Community Council and other designated locations by the project. Considering the limited internet connectivity and digital access in the local community, this approach is designed to supply information directly to local community members and stakeholders. Print materials such as booklets and flyers will be distributed during community engagement events and also delivered house-to-house across the settlements to ensure comprehensive outreach.

#### 2) Oral Communication

This traditional method of communication remains a primary means of engaging with local communities. The project's design was formulated via stakeholder engagement workshops and general assemblies that relied on oral communication. Throughout the monitoring phases, additional meetings and stakeholder engagement sessions will be organized to keep the local communities informed and updated on the progress of ongoing activities.



### 3) Online Publications

Project-related documents will also be accessible on the websites of the Voluntary Carbon Standard (VCS) and the Climate, Community & Biodiversity Alliance (CCB).

#### 2.3.4 Dissemination of Summary Project Documents (VCS, 3.18, 3.19; CCB, G3.1)

The various communication pathways outlined in section 2.3.3 will be employed to circulate concise project overviews. To enhance comprehensibility for the local community, the summaries from project documentation and monitoring reports will be rendered in Bahasa Indonesia.

Upon availability, these summaries will be shared and showcased with pertinent stakeholders through engagement activities such as workshops, meetings, and general assemblies.

The administrative team will proactively manage the distribution of hard copies of the documentation within the local community and will hold periodic gatherings to inform stakeholders about the project's progress.

Leaders and members of the local community will additionally ensure the widespread distribution of the summarized project documents among community members. There is a clear understanding and agreement among the leaders and members of the local community concerning their responsibility to disseminate all project information throughout the communities. After the verification process, the reviewed and audited summary documents will also be published on the websites of the Voluntary Carbon Standard (VCS) and the Climate, Community & Biodiversity Alliance (CCB).

Additional copies of the documents will be provided to other interested stakeholders upon their request.

#### 2.3.5 Informational Meetings with Stakeholders (VCS, 3.18, 3.19; CCB, G3.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 2.3.6 Risks from the Project and No Net Harm (VCS, 3.18, 3.19)

The initiative centers on the preservation of forests. It avoids any scheduled logging operations and instead aims to preserve the existing condition, thereby preventing the introduction of new risks. The project is designed to avoid adverse effects on the environment, such as air pollution emissions, water contamination, noise and vibration, waste production, and the release of dangerous substances, including chemical pesticides and fertilizers, due to project-related activities. For the risk table, please refer to Appendix 1.

### 2.3.7 Community Costs, Risks, and Benefits (CCB, G3.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.8 Information to Stakeholders on Validation and Verification Process (VCS, 3.18.6, 3.19; CCB, G3.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.9 Site Visit Information and Opportunities to Communicate with Auditor (VCS, 3.18.6; CCB, G3.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.10 Stakeholder Consultations (VCS, 3.18; CCB, G3.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.11 Continued Consultation and Adaptive Management (VCS, 3.18; CCB, G3.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.12 Stakeholder Consultation Channels (CCB, G3.5)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.13 Stakeholder Participation in Decision-Making and Implementation (VCS, 3.18, 3.19; CCB, G3.6)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.14 Anti-Discrimination Assurance (VCS 3.19; CCB, G3.7)

Strategies to prevent any engagement in discrimination or sexual harassment by all entities must cultivate an atmosphere of inclusiveness, diversity, and respect for every individual involved.

We have outlined several key steps that ought to be implemented:

1. **Formulate a Non-Discrimination and Anti-Harassment Policy:** Draft a clear and extensive policy that strictly forbids any form of discrimination or sexual harassment on the basis of gender, race, religion, sexual orientation, or any other protected attribute. This policy should be disseminated to all parties involved in the project and made conveniently accessible to everyone.
2. **Conduct Training and Awareness Sessions:** Organize educational training sessions and awareness campaigns for all project stakeholders, including staff, consultants, contractors, and community members, to inform them about the nature of discrimination and harassment and their negative consequences. The training should focus on establishing a secure and inclusive setting and offer guidance on proper conduct and reporting methods.
3. **Promote Equal Opportunity and Inclusion:** Guarantee that all individuals participating in the project have equal access to opportunities, irrespective of their gender, race, religion, sexual orientation, or any other characteristic. Champion diversity and inclusion in the project's decision-making, hiring practices, and community interactions.
4. **Establish Grievance Procedures:** Create a formal and confidential process for lodging grievances that allows individuals to report cases of discrimination or sexual harassment without fear of retribution. Provide clear instructions on the reporting process, including various channels such as hotline numbers, email addresses, or assigned personnel for handling complaints.
5. **Implement Investigation and Accountability Protocols:** Define a clear procedure for investigating reported incidents, ensuring that these are addressed swiftly, fairly, and openly. Enforce suitable disciplinary actions, including sanctions, against those found culpable of discrimination or sexual harassment.
6. **Monitor and Report:** Continuously assess and report on the efficacy of the measures put in place to combat discrimination and sexual harassment. Incorporate this information into project progress reports and maintain transparency about any incidents reported, investigations conducted, and actions taken.
7. **Engage with Local Communities:** Proactively work with local communities to comprehend their needs, address their concerns, and incorporate their viewpoints. Involve community representatives in the project's decision-making processes to ensure their voices are heard and their rights are honored throughout the project duration.
8. **Foster Partnerships with Responsible Entities:** Carry out due diligence on partner organizations, contractors, and consultants to verify that they have robust policies and practices to prevent discrimination and sexual harassment. Prioritize collaborations with those that demonstrate a dedication to equal opportunities and inclusivity.

Project proponent considers it vital to integrate these steps into the overarching governance framework of the project to foster a culture of respect, fairness, and equality. It is important to periodically review and refresh these measures to ensure their ongoing relevance and effectiveness throughout the project's lifecycle.

### 2.3.15 Feedback and Grievance Redress Procedure (VCS, 3.18.4; CCB, G3.8)

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| <b>Development process</b>         | <p>The establishment of the grievance redress procedure followed a holistic strategy that took into account culturally sensitive approaches to conflict resolution. The process commenced with extensive stakeholder consultations, proactively involving community members, local authorities, and pertinent organizations to gain insight into their viewpoints and experiences. An examination of current procedures was conducted, which included both project-specific and wider cultural and legal contexts. Following this evaluation, customized Grievance Redress Mechanism was crafted to ensure inclusiveness, ease of access, and equity. The protocol incorporated various avenues for submitting grievances and outlined clear procedures for managing and resolving them. A realistic timeframe was set for prompt responses and solutions. Culturally appropriate conflict resolution techniques, including mediation and dialogue, were incorporated to encourage comprehension and to pursue mutually agreeable outcomes. The procedure was regarded as a fluid process, open to ongoing enhancement through monitoring, assessment, and input from those filing grievances and other stakeholders. In essence, the developed grievance redress procedure sought to establish a mechanism that was accessible, fair, and respectful of cultural nuances, while also maintaining transparency, accountability, and the timely addressing of grievances.</p> |
| <b>Grievance redress procedure</b> | <p><b>Awareness and Information Sharing:</b></p> <ul style="list-style-type: none"> <li>Widely distribute information regarding the Grievance Redress Mechanism through numerous channels to ensure public knowledge.</li> </ul> <p><b>Gathering and Documenting Grievances:</b></p> <ul style="list-style-type: none"> <li>Accept grievances via a variety of platforms: email, direct visits, phone calls, or WhatsApp.</li> <li>Oversee the grievances with the help of an unbiased individual who is part of a shareholder committee but not on the board.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

#### Initial Resolution Efforts:

- Commence an initial resolution effort within a timeframe designated by the Company upon receipt of a grievance.
- Promote the utilization of traditional conflict resolution techniques when a grievance is received, honoring the cultural traditions of the impacted communities.

#### Mediation Services:

- Make mediation available as a voluntary option.
- Provide impartial mediators with specialized knowledge in dispute resolution.
- Track the developments in the mediation process.
- Distribute the costs of mediation evenly among all parties involved.

#### Arbitration or Legal Action:

- Offer arbitration or legal action if mediation fails within a set timeframe.
- Clarify the circumstances under which a grievant can seek arbitration or initiate a legal proceeding.
- Appoint one arbitrator to decide on the grievance.
- Choose arbitrators through methods such as: a. Each party submits a list of three arbitrators, and one is randomly selected. b. Arbitrators are chosen by a blind draw at the annual general meeting of project proponent, from appointees of local community.
- Monitor the arbitration process closely.

#### Documentation and Correspondence:

- Keep detailed records of all grievances received, including their status, actions taken, and final outcomes.
- Ensure that updates on the progress and resolution of grievances are communicated promptly to all parties involved.
- Voluntarily adhere to the data collection standards set by the Electronic Information and Transactions (EIT law).
- Review and Ongoing Enhancement:
- Conduct regular evaluations of the grievance redress procedure to identify opportunities for enhancement.

- Gather feedback from stakeholders on their experiences and apply lessons learned to future versions of the procedure.
- Involve affected communities and other stakeholders in the review process to improve transparency and accountability.

By meticulously documenting and enforcing a grievance redress procedure that encompasses these stages and adheres to time limits, the project underscores its dedication to addressing grievances in a just and expedient manner, while also respecting traditional conflict resolution and legal frameworks.

### 2.3.16 Accessibility of the Feedback and Grievance Redress Procedure (VCS, 3.19; CCB, G3.8)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.17 Worker Training (VCS, 3.19; CCB, G3.9)

Project proponent has formulated the strategies for employee training, which encompass offering orientation and instruction to both the project's workforce and local community members, all the while guaranteeing that local expertise is preserved despite staff changes.

| Measures                          | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Orientation and Training Programs | <ul style="list-style-type: none"> <li>Create extensive orientation schemes for all personnel associated with the project and for the community members who participate in the project's endeavours.</li> <li>The orientation scheme ought to cover a presentation of the project's mission, targets, and operations, in addition to a summary of the grievance resolution process and the significance of engaging with stakeholders.</li> <li>Deliver instruction on the technical competencies pertinent to the project, including sustainable resource management techniques, data gathering and interpretation, project supervision and assessment, along with any other specialized skills required for the project's tasks.</li> <li>The training programs should be crafted to be engaging and interactive, blending theoretical knowledge with practical exercises to improve the overall effectiveness of the learning experience.</li> </ul> |

|                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Regionally Specific Skills and Expertise                   | <ul style="list-style-type: none"> <li>• Devise training initiatives that prioritize the development of skills and knowledge with local applicability to enhance the involvement of local communities in the project's execution.</li> <li>• Incorporate the insights of local specialists, community leaders, and bearers of traditional wisdom into the training curricula, ensuring that local viewpoints and customary methods are integral to the programs.</li> <li>• Cultivate an interactive learning atmosphere that facilitates the exchange of local knowledge and experiences among attendees, thereby fostering a sense of collective responsibility and empowerment.</li> </ul>         |
| Training Documentation and Resources                       | <ul style="list-style-type: none"> <li>• Craft training resources and materials that are easily accessible, culturally sensitive, and provided in the local vernacular.</li> <li>• Record the training sessions, encompassing slide presentations, informational handouts, and hands-on activities, to establish a knowledge base that can be utilized and distributed among incoming staff and community participants in subsequent times.</li> </ul>                                                                                                                                                                                                                                                |
| Continuous Learning and Development                        | <ul style="list-style-type: none"> <li>• Institute a framework for continuous education and professional growth to guarantee that skills and knowledge are consistently enhanced and kept current.</li> <li>• Motivate staff and community individuals to engage in pertinent workshops, conferences, and skill-enhancing events beyond the immediate parameters of the project.</li> <li>• Cultivate an ethos of education and the exchange of knowledge within the project's team, advocating for regular gatherings, dialogues, and collaborative learning sessions among peers.</li> </ul>                                                                                                        |
| Strategic Succession and Intellectual Capital Transmission | <ul style="list-style-type: none"> <li>• Execute a strategic plan for succession to reduce the impact of staff departure on local expertise.</li> <li>• Recognize and prepare local individuals or community members who have the potential to assume critical positions within the project.</li> <li>• Support the transition of knowledge by prompting outgoing staff to record and impart their insights, lessons gained, and optimal practices to those who will take over their roles.</li> <li>• Promote mentorship initiatives that connect seasoned employees with newcomers or community participants, thereby enhancing the exchange of knowledge and the cultivation of skills.</li> </ul> |
| Evaluation and Feedback                                    | <ul style="list-style-type: none"> <li>• Consistently assess the impact and success of the orientation and training schemes via feedback meetings, questionnaires, and evaluations.</li> <li>• Seek comments from those involved to pinpoint regions for enhancement and to confirm that the training programs are aligning with their requirements and anticipations.</li> </ul>                                                                                                                                                                                                                                                                                                                     |



|  |                                                                                                                                                                            |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <ul style="list-style-type: none"> <li>Take into account the opinions of community residents and staff when formulating and revising upcoming training efforts.</li> </ul> |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

The project strives to foster local expertise, grant community members greater authority, and maintain the integrity of knowledge and abilities despite employee transitions through the adoption of these measures. This method advances sustainable progress and instils a feeling of proprietorship and self-determination within the local populace.

### 2.3.18 Community Employment Opportunities (VCS, 3.19.13; CCB, G3.10)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.3.19 Occupational Safety Assessment (VCS, 3.19; CCB, G3.12)

Project proponent has instituted the "Occupational Health and Safety Guidelines" as well as the "Personal Protective Equipment (PPE) Guidelines" to educate about potential dangers and to equip individuals with the required information and resources to mitigate those risks. This strategy aids in guaranteeing a safer workplace and decreases the probability of occupational risks and incidents. Furthermore, project proponent ensures that the supplied PPE adheres to pertinent safety regulations, is appropriately sized, and undergoes regular maintenance. In addition, project proponent offers instruction to employees on the proper usage, care, and storage of their PPE to enhance its protective capabilities.

| Risk Type        | Risk description                                                                                                                                         | Measures                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Level of concern |
|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| Physical Hazards | Engaging in operations within distant or complex landscapes, which may include irregular ground, pronounced inclines, or adverse climatic circumstances. | <ul style="list-style-type: none"> <li>Perform comprehensive evaluations and inspections of sites to detect possible physical risks and devise suitable countermeasures.</li> <li>Ensure sufficient instruction on safe working methodologies, encompassing the correct operation of machinery and movement through difficult landscapes.</li> <li>Equip personnel with suitable personal protective gear (PPE), including durable shoes, hard hats, and weather-appropriate attire.</li> <li>Set up systems for communication and emergency response to guarantee the well-being of employees working in isolated locations.</li> </ul> | High             |

|                         |                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |      |
|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| Wildlife Encounters     | Encounter with wildlife, such as poisonous snakes, sizable mammals, or potentially dangerous insects, presenting risks to the safety of personnel.                     | <ul style="list-style-type: none"> <li>Carry out evaluations of wildlife-related risks to pinpoint regions and species that pose higher threats.</li> <li>Offer instruction on wildlife recognition, covering identification, patterns of behaviours, and the correct actions to take during encounters.</li> <li>Put in place strategies to reduce interactions between wildlife and humans, which may include the installation of obstacles or repellents as needed.</li> <li>Guarantee that staff members can readily obtain suitable first aid and medical assistance in the event of incidents involving wildlife.</li> </ul> | High |
| Chemical Exposure       | Contact with dangerous substances, including pesticides, herbicides, or additional chemicals utilized in reforestation.                                                | <ul style="list-style-type: none"> <li>Undertake detailed risk evaluations to ascertain potential chemical dangers and establish suitable preventative measures.</li> <li>Furnish education on the correct methods for handling chemicals, their storage, and the correct utilization of personal protective equipment (PPE).</li> <li>Guarantee that employees have access to Material Safety Data Sheets (MSDS) and guidelines for the safe handling and disposal of chemical substances.</li> <li>Enforce rigorous procedures for the storing, conveying, and applying of chemicals to reduce the risks of exposure.</li> </ul> | Low  |
| Machinery and Equipment | Operating large machinery, implements, or apparatus, including items like chainsaws or vehicles, which poses the risk of accidents and harm if incorrect usage occurs. | <ul style="list-style-type: none"> <li>Offer extensive instruction on the secure handling and upkeep of mechanical devices and tools.</li> <li>Conduct routine examinations and servicing of machinery to guarantee its optimal operational state.</li> <li>Mandate the deployment of suitable safety features and protective guards on all machinery.</li> <li>Establish stringent procedures for the operation of equipment, which includes adequate supervision and compliance with established safety regulations.</li> </ul>                                                                                                  | Low  |

|                            |                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |        |
|----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| Fatigue and Mental Health  | Extended periods of work, physically exerting tasks, and tight project schedules can result in exhaustion, tension, and psychological wellness concerns for employees. | <ul style="list-style-type: none"> <li>Institute fair work hours and ensure sufficient rest breaks are in place.</li> <li>Inform employees about the significance of stress management and the preservation of mental health.</li> <li>Foster an accommodating workplace atmosphere that values open dialogue and grants access to mental health services.</li> <li>Coach leaders and managers to identify indicators of tiredness and stress, and to offer suitable assistance and resources.</li> </ul>                                                                                                          | Medium |
| Community and Social Risks | Possible disputes or societal strain emerging from the project's operations, especially in the context of engaging with local community settings.                      | <ul style="list-style-type: none"> <li>Enter purposeful discussions and partnerships with local communities to tackle their issues and reduce the likelihood of conflicts.</li> <li>Create straightforward and open channels for addressing community complaints in a timely manner.</li> <li>Perform assessments of social implications to pinpoint potential societal risks and formulate suitable measures for their alleviation.</li> <li>Promote inclusive and collaborative approaches to decision-making that incorporate the participation of local communities, thereby reducing social risks.</li> </ul> | Low    |

## 2.4 Management Capacity

### 2.4.1 Project Governance Structures (CCB, G4.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.4.2 Required Technical Skills (VCS, 3.19; CCB, G4.2)

|                        |                   |
|------------------------|-------------------|
| Key technical skills   | Responsible party |
| Community Engagement   |                   |
| Stakeholder Engagement | Project developer |

|                                                                                                                                                                                                                                                                                                                                          |                   |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|
| <ul style="list-style-type: none"> <li>demonstrate robust abilities in communication, facilitation, and resolving conflicts</li> </ul>                                                                                                                                                                                                   |                   |
| <b>Social Impact Assessment</b> <ul style="list-style-type: none"> <li>carrying out assessments of social impacts, executing community polls, and employing participatory methods to comprehend and respond to the issues raised by communities</li> </ul>                                                                               | Consultant        |
| <b>Biodiversity Assessment and Conservation</b>                                                                                                                                                                                                                                                                                          |                   |
| <b>Biodiversity assessments</b> <ul style="list-style-type: none"> <li>Identifying species, creating habitat maps, and conducting ecological assessments</li> </ul>                                                                                                                                                                      | Project developer |
| <b>Carbon Measurement and Monitoring</b>                                                                                                                                                                                                                                                                                                 |                   |
| <b>Carbon Accounting</b> <ul style="list-style-type: none"> <li>measuring emissions and the process of carbon sequestration to assess the project's carbon impact and monitor advancements towards achieving set emission reduction goals</li> </ul>                                                                                     | Consultant        |
| <b>Monitoring and Evaluation</b>                                                                                                                                                                                                                                                                                                         |                   |
| <b>Developing and executing systems for monitoring and evaluation to</b> <ul style="list-style-type: none"> <li>evaluate the project's environmental and social outcomes</li> <li>gather relevant information, set key indicators, and conduct analysis of the project's advancement in relation to sustainability objectives</li> </ul> | Consultant        |

### 2.4.3 Management Team Experience (VCS, 3.19; CCB, G4.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.4.4 Project Management Partnerships and Team Development (VCS, 3.19; CCB, G4.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 2.4.5 Financial Health of Implementing Organization(s) (CCB, G4.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 2.4.6 Avoidance of Corruption and Other Unethical Behavior (VCS, 3.19; CCB, G4.3)

We acknowledge the critical significance of ensuring that the project sponsor and all parties involved in the project's execution maintain the highest levels of integrity and ethical conduct. We are dedicated to enforcing a strict zero-tolerance policy against corruption, bribery, misappropriation of funds, fraud, favoritism, cronyism, nepotism, extortion, and collusive practices. To guarantee this standard, we have instituted the following measures and processes:

1. **Code of Conduct and Compliance Policies:** We have crafted an extensive Code of Conduct accompanied by a series of compliance policies that delineate our ethical expectations and standards for everyone associated with the project. These documents explicitly forbid any corrupt or unethical actions and offer clear guidance on acceptable behavior. All members of the project team, contractors, suppliers, and partners are obligated to comply with these policies.
2. **Anti-Corruption Training and Awareness:** We have established an internal Anti-Corruption Policy and provide regular training sessions and awareness initiatives to inform all stakeholders about the necessity of eschewing corruption and unethical practices. These sessions encompass subjects such as forms of corruption, legal and ethical ramifications, reporting procedures, and the consequences of non-compliance. Through fostering a culture of integrity and awareness, we intend to ensure that all participants comprehend their duties and actively work to prevent corruption.
3. **Transparent Procurement and Vendor Selection:** In an effort to promote transparency and equity, we have developed an internal Procurement Policy and instigated stringent procurement and vendor selection procedures. These processes include definitive evaluation criteria, competitive tendering, and rigorous due diligence checks. We meticulously document all procurement proceedings, including proposal requests, bid appraisals, and contract awards. By adhering to these transparent methods, we reduce the risk of favoritism, cronyism, and collusion.
4. **Whistleblower Mechanism:** We have set up a confidential and easily accessible internal whistleblower mechanism that enables individuals to report suspected instances of corruption or unethical behavior. This mechanism guarantees that reports can be made without fear of retribution and establishes a pathway for thorough investigation and suitable response. The confidentiality and protection of whistleblowers are stringently upheld throughout the entire process.

5. **Third-Party Audits and Compliance Checks:** To strengthen our dedication to integrity, we will engage independent third-party auditors to carry out regular audits and compliance inspections. These audits assess our procedures, financial documents, and project execution to detect any potential anomalies or breaches of ethical standards. Any findings or suggestions from these audits are promptly dealt with, and corrective measures are implemented as required.
6. **Ongoing Monitoring and Oversight:** We have created an internal control system and assigned a specialized internal team responsible for continuous monitoring and supervision across the project's lifespan. This team conducts routine evaluations, assesses performance, and ensures sustained adherence to ethical norms and anti-corruption efforts. Any discrepancies or suspicious activities are rigorously investigated, and appropriate actions are taken, including disciplinary measures or the severing of partnerships if needed. Additionally, there is an annual renewal of our commitment to anti-corruption during project or community meetings.

#### 2.4.7 Commercially Sensitive Information (VCS, 3.5.2 – 3.5.4; CCB Rules, 3.5.13 – 3.5.14)

No commercially sensitive information has been excluded.

## 2.5 Legal Status and Property Rights

### 2.5.1 National and Local Laws (VCS, 3.1, 3.6, 3.7, 3.14, 3.18, 3.19; CCB, G5.6)

All project activities described in this Project Description are in compliance with any and all relevant local, regional and national laws, statutes and regulatory frameworks of the Republic of Indonesia. We have outlined the key regulations applicable to our activities, ensuring that all project operations align with these requirements:

| Regulation Name                                                                                                         | Description                                                                                                                                                                                                                                                                                        |
|-------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Law No. 6/2023 on the Stipulation of Government Regulation in Lieu of Law No. 2/2022 on Job Creation into Law           | The regulation aims to enhance the protection and empowerment of cooperatives and micro, small, and medium enterprises. It also focuses on improving the investment ecosystem and accelerating national strategic projects, with a particular emphasis on enhancing worker protection and welfare. |
| Law No. 16/2016 on the Ratification of the Paris Agreement to the United Nations Framework Convention on Climate Change | This law ratifies Indonesia's commitment to the Paris Agreement, aiming to reduce greenhouse gas emissions and address climate change.                                                                                                                                                             |
| Law No. 41/1999 on Forestry                                                                                             | This law governs forestry in Indonesia, emphasizing sustainable management and conservation of forest resources for present and future generations.                                                                                                                                                |

|                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Indonesia REDD+ National Strategy 2021-2030                                                                                                                                         | The document outlines strategies for reducing emissions from deforestation and forest degradation, and the role of conservation, sustainable management of forests and enhancement of forest carbon stocks.                                                                                                                      |
| Presidential Regulation No. 98/2021 on the Implementation of Carbon Economic Value for Achieving Nationally Determined Contribution Targets and Control of Greenhouse Gas Emissions | This regulation introduces mechanisms like carbon trading and levies to achieve Indonesia's Nationally Determined Contribution targets and reduce greenhouse gas emissions.                                                                                                                                                      |
| Ministry of Environment and Forestry (MoEF) Regulation No. 70/2017 on Implementing REDD+ and Sustainable Management of Forests                                                      | This regulation provides guidelines for implementing REDD+ (Reducing Emissions from Deforestation and Forest Degradation) to support Indonesia's Nationally Determined Contribution targets.                                                                                                                                     |
| MoEF Regulation No. 21/2022 on Guidelines for Implementing the Carbon Economic Value                                                                                                | This regulation outlines procedures for implementing carbon pricing in Indonesia, covering sectors like energy and forestry through mechanisms such as carbon trading.                                                                                                                                                           |
| MoEF Regulation No. 7/2023 on Carbon Trading Implementation for the Forestry Sector                                                                                                 | This regulation governs carbon trading activities in the forestry sector, focusing on reducing greenhouse gas emissions through forest conservation and restoration.                                                                                                                                                             |
| OJK Regulation No. 14/2023 on Carbon Trading on Carbon Exchange                                                                                                                     | This regulation by the Indonesia Financial Services Authority ( <i>Otoritas Jasa Keuangan/OJK</i> ) sets standards for carbon units traded on carbon exchanges and outlines licensing requirements for carbon exchange operators.                                                                                                |
| MoEF Decree No. 168/2022 on Forestry and Other Land Use (FOLU) Net Sink 2030 for Climate Change Control                                                                             | This decree aims to achieve a net sink status for forestry and other land use sectors by 2030, contributing to climate change mitigation efforts.                                                                                                                                                                                |
| Law No. 18/2013 on the Prevention and Eradication of Forest Destruction                                                                                                             | This law strengthens law enforcement by providing legal certainty and deterrents for forest destruction, ensuring sustainable forest management and environmental protection.                                                                                                                                                    |
| Government Regulation No. 22/2021 on Environmental Protection and Management                                                                                                        | This regulation provides a comprehensive framework for environmental protection and management in Indonesia, covering aspects such as environmental approval mechanisms, air and water quality management, waste management, and environmental restoration, while also establishing administrative sanctions for non-compliance. |
| MoEF Regulation No. P.70/MENLHK/SETJEN/KUM.1/12/2017 on Procedures for Reducing Emissions from Deforestation and Forest Degradation, Role of Conservation, Sustainable              | This regulation outlines the procedures for implementing emission reductions from deforestation and forest degradation, while also addressing conservation, sustainable forest                                                                                                                                                   |



|                                                                                                                                                                                          |                                                                                                                                                                         |
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| Management of Forest and Enhancement of Forest Carbon Stocks                                                                                                                             | management, and enhancement of forest carbon stocks.                                                                                                                    |
| MoEF Regulation No. P.71/MENLHK/SETJEN/KUM.1/12/2017 on Implementation of a National Registry System for Climate Change Control                                                          | This regulation establishes a national registry system to manage and track climate change control efforts in Indonesia.                                                 |
| MoEF Regulation No. P.72/MENLHK/SETJEN/KUM.1/12/2017 on Guidelines for the Implementation of Measurement, Reporting and Verification of Actions and Resources for Climate Change Control | This regulation provides guidelines for measuring, reporting, and verifying climate change control actions and resources, ensuring transparency and accountability.     |
| MoEF Regulation No. P.73/MENLHK/SETJEN/KUM.1/12/2017 on Guidelines for the Implementation and Reporting of the National Greenhouse Gases Inventory                                       | This regulation outlines guidelines for implementing and reporting the national greenhouse gases inventory, facilitating accurate tracking and management of emissions. |

## 2.5.2 Relevant Laws and Regulations Related to Worker's Rights (VCS, 3.18.2; CCB, G3.11)

The Lestari Project adheres strictly to Indonesia's labor laws and regulations and is committed to setting a benchmark for best practices in employment terms, conditions, and practices. In Indonesia, several key laws and regulations govern workers' rights, ensuring fair treatment and protection for all employees. Below is a list of relevant laws and regulations, along with measures designed to inform workers about their rights.

- Labour Law (Law No. 13/2003): Addresses working hours, leave, minimum wage, and termination procedures. It mandates employers to protect employees' rights and well-being.
- Trade Union Law (Law No. 21/2000): Safeguards employees' rights to form and join trade unions, facilitating better working conditions and communication between employees and companies.
- Social Security Law (Law No. 40/2004): Requires employers to register employees for social security benefits, including health and workplace accident insurance.
- Law on Elimination of Sexual Violence in Employment (Law No. 18/2019): Defines and penalizes sexual violence in the workplace, ensuring a safe working environment.
- Law on Maternal and Child Welfare (Law No. 4/2024): Provides additional maternity and paternity leave entitlements, enhancing family support.

The primary legal framework for labor in Indonesia is the Labor Law No. 13/2003, which provides comprehensive regulations covering various aspects of employment, such as

employment agreements, working hours, wages, paid leave, termination, discrimination, and grievance procedures. The Human Resources Policy and Procedures Handbook of the Lestari Project provides employment guidelines necessary in building a healthy work environment and ensures that employees understand their rights.

An Occupational Health and Safety Guideline has been established to provide workers with comprehensive guidance on maintaining a safe work environment. This ensures that employees are informed about potential risks and equipped with the necessary knowledge and tools to minimize those risks effectively.

An internal policy on anti-discrimination and harassment has been established for the Project. Employees are also provided with training sessions on these topics to foster a fair and inclusive working environment. These training sessions are designed to raise awareness about the various forms of discrimination and harassment, including but not limited to age, gender, race, sexual orientation, and disability.

The Project's Guidelines for Grievance Redress Mechanism provides a detailed grievance process that employees can follow if they have any concerns about their employment terms or any incidents encountered in the workplace.

Beyond compliance with employment laws, the Lestari Project also adheres to Social Security Law. This requires the Project to register all employees with the Social Security system (*BPJS Ketenagakerjaan* and *BPJS Kesehatan*) and make contributions on their behalf. All employees receive membership cards for these schemes.

### 2.5.3 Human Rights (VCS, 3.19)

The project acknowledges, respects, and promotes the protection of the rights of Indigenous Peoples, Local Communities, and customary rights holders. It supports the United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP) and the International Labour Organization (ILO) Convention 169 on Indigenous and Tribal Peoples. The Project upholds these rights in several key ways:

**Free, Prior, and Informed Consent (FPIC):** The Project ensures that the free, prior, and informed consent of Indigenous Peoples, Local Communities, and customary rights holders is obtained before engaging in activities that may impact their lands, territories, and resources. This involves meaningful and transparent engagement with these communities, ensuring they have access to all necessary information, and obtaining their consent without any form of pressure or manipulation. The Project employs traditional *musyawarah* (inclusive deliberation-style) consultation methods and ensures that communities themselves co-design programs and initiatives that effectively address their most pressing needs.

**Right to Land and Resources:** The Project respects and acknowledges the rights of Indigenous Peoples, Local Communities, and customary rights holders over their lands, territories, and

resources. It affirms their right to use, manage, and govern these resources according to their traditional customs, laws, and practices. The Project avoids encroaching on or displacing these communities, protecting their rights to communal ownership, ancestral lands, and sacred sites.

**Cultural Heritage and Traditional Knowledge:** The Project promotes and protects the cultural heritage, traditional knowledge and local values of Indigenous Peoples, Local Communities, and customary rights holders. It respects their intellectual property rights, ensuring that their cultural expressions, languages, and traditional knowledge are preserved and not exploited without their consent. Additionally, the Project promotes fair sharing of benefits derived from the use of traditional knowledge and practices.

**Non-Discrimination and Equality:** Committed to non-discrimination and equality, the Project ensures that the rights of Indigenous Peoples, Local Communities, and customary rights holders are upheld without any discrimination. It fosters inclusive participation and representation of these communities in decision-making, allowing their voices and perspectives to be acknowledged.

**Social and Economic Development:** The project recognizes the right of Indigenous Peoples, Local Communities, and customary rights holders to social and economic development. It fosters inclusive, locally-led decision-making processes, while providing opportunities for growth, capacity building, and for women to participate, contribute, and voice their needs, desires, and aspirations. The Project aims to assist these communities in improving their well-being, livelihoods, and sustainable development through opportunities in capacity building, education, healthcare, and economic empowerment. The Project will adopt a continuous improvement strategy, conducting socio-economic impact assessments at regular intervals to adapt approaches and maximize positive impacts.

**Remedies and Redress:** The Project recognizes the necessity of remedies and redress mechanisms for Indigenous Peoples, Local Communities, and customary rights holders in the event of rights violations or adverse impacts. It ensures these communities have access to effective grievance procedures and legal remedies, resolving disputes or conflicts in a fair, transparent, and culturally sensitive manner.

**Collaboration and Partnership:** The Project actively engages and collaborates with Indigenous Peoples, Local Communities, and customary rights holders, recognizing them as vital stakeholders and rights holders. It partners with these communities, their representative organizations, and relevant institutions to ensure their rights are protected, respected, and promoted throughout the project's duration.

By incorporating these principles into its policies, practices, and decision-making, the Project demonstrates its commitment to recognizing, respecting, and promoting the rights of Indigenous Peoples, Local Communities, and customary rights holders in accordance with applicable international human rights law, UNDRIP, and ILO Convention 169.

#### 2.5.4 Indigenous Peoples and Cultural Heritage (VCS, 3.18, 3.19)

The project marks a significant advancement in tackling the global issues of climate change and biodiversity loss. However, its success is not solely defined by its environmental impact. Equally important is the recognition and protection of indigenous peoples' cultural heritage as a core component of the project's activities. The project honors the cultural heritage of Indigenous Peoples, acknowledging their deep and enduring connections to the forests and ecosystems they inhabit. Indigenous communities possess invaluable traditional knowledge, practices, and spiritual beliefs that have sustained their cultures for generations. The project recognizes the importance of safeguarding and respecting these cultural assets, which are integral to their identity and way of life.

The indigenous population in the Project area is mainly made up of the Dayak Apokayan people group, which includes three sub-ethnic Dayak people, namely Kayan People, Kenyah People, and Bahau people. The dominant religion of the region is Christianity (Protestant and Catholic), which contribute to over 90% of the population of the Kayan Selatan, Kayan Hulu and Kayan Hilir districts. In general, Malinau Regency is rich in cultural heritage, with 11 traditional institutions and 14 communities.

The Project respects the rights of indigenous peoples to free, prior, and informed consent (FPIC) and strives to form meaningful partnerships with these communities. By involving indigenous peoples in the planning, implementation, and monitoring of the project, it ensures that cultural heritage concerns are integrated from the beginning. The project takes proactive steps to protect these sites from deforestation, degradation, and encroachment, recognizing their significance not only to Indigenous Peoples but to humanity as a whole. By safeguarding these sites, the project contributes to the preservation of cultural heritage and the continuity of traditional practices.

In addition, the Project acknowledges the importance of building the capacity of Indigenous Peoples to actively participate in and benefit from project activities. It supports initiatives that enhance the skills, knowledge, and capabilities of Indigenous communities in cultural heritage preservation, documentation, and transmission. By empowering indigenous peoples, the project ensures that they are committed to protecting, revitalizing, and passing on their cultural heritage to future generations.

#### 2.5.5 Statutory and Customary Property Rights (VCS, 3.18, 3.19; CCB, G5.1)

The Project covers 60,000 hectares of non-forest estate in the Regency of Malinau, North Kalimantan, owned by PT. Agra Inti Investama under its three subsidiaries: PT. Agra Beverindo (20,000 hectares), PT. Agra Cahaya Keumala (20,000 hectares), and PT. Agra Water Front Indonesia (20,000 hectares).

In 2007, the Regent of Malinau granted land ownership for PT. Agra Beverindo, PT. Agra Cahaya Keumala, and PT. Agra Water Front Indonesia, each through a Location Permit for Oil Palm Plantation (*Izin Lokasi untuk Perkebunan Kelapa Sawit*). The Location Permit is a permit given to business actor(s) to obtain land needed for business and/or activities, and also applies as a permit to transfer rights and to use the land for business and/or activities. Permit to conduct an oil palm plantation business was granted by the Regency of Malinau through the Oil Palm Plantation Business License (*Izin Usaha Perkebunan Kelapa Sawit*). These documents are:

- Location Permit for Oil Palm Plantation No. 471/2007 and Oil Palm Plantation Business License No. 576/2007 for PT. Agra Beverindo;
- Location Permit for Oil Palm Plantation No. 472/2007 and Oil Palm Plantation Business License No. 577/2007 for PT. Agra Cahaya Keumala; and
- Location Permit for Oil Palm Plantation No. 473/2007 and Oil Palm Plantation Business License No. 578/2007 for PT. Agra Water Front Indonesia.

Following the enactment of Act Number 11/2020 on Job Creation, the above documents were replaced by the Approval for the Suitability of Spatial Utilization (*Persetujuan Kesesuaian Kegiatan Pemanfaatan Ruang untuk Kegiatan Berusaha/PKKPR*) for oil palm plantation issued by the Regent of Malinau, as well as the Risk-Based Business License (*Perizinan Berusaha Berbasis Risiko*) for oil palm plantation issued by the Minister of Investment / Head of Indonesia Investment Coordinating Board (*Badan Koordinasi Penanaman Modal/BPKM*). These documents are:

- PKKPR No. 15062210216502006 and Risk-Based Business License No. 1506220038566 for PT. Agra Beverindo;
- PKKPR No. 16082210216502001 and Risk-Based Business License No. 1506220017971 for PT. Agra Cahaya Keumala; and
- PKKPR No. 13062210216502002 and Risk-Based Business License No. 0408220039997 for PT. Agra Waterfront Indonesia.

These licenses grant PT. Agra Inti Investama, as the parent company of the subsidiaries and as the Project Proponent, with rights to manage the lands, territories and resources within the Project Area.

In response to the growing interest in combating climate change and enhancing the value for the local area and community, the Project Proponent decided to explore the potential of shifting their business activities from logging (for oil palm plantation business purposes) to the protection of the forest area. This shift involves developing a Verra carbon credit project to support forest conservation efforts.

### 2.5.6 Recognition of Property Rights (VCS, 3.7, 3.18, 3.19; CCB, G5.1)

The Lestari Project in Malinau Regency, North Kalimantan, Indonesia, is committed to recognizing, respecting, and supporting the customary property rights of all stakeholders, including the indigenous communities surrounding the Project area.

The lands producing the GHG reductions and removals are legally owned by the Project Proponent, and the Project fully recognizes and respects the customary property rights of the indigenous communities in the Project area, in accordance with Indonesia's Human Rights Law (Law No. 39/1999) and the Forestry Law (Law No. 41/1999).

The project adheres to the principles of free, prior, and informed consent (FPIC) and is designed to ensure that the rights of the local communities are fully protected and enhanced. FPIC of local stakeholders have been secured through a series of consultations and negotiations. These consultations have been conducted transparently and inclusively, ensuring that all stakeholders have a clear understanding of the project's objectives, benefits, and potential impacts. The project also supports the strengthening of customary land tenure rights by providing capacity building to the local communities. This ensures that the rights of the indigenous people are fully recognized, respected, and supported throughout the implementation of the Project.

#### 2.5.7 Free, Prior and Informed Consent (VCS, 3.18; CCB, G5.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 2.5.8 Benefit Sharing Mechanisms (VCS, 3.18, 3.19;)

The project does not impact property rights; however, to improve transparency, clear guidelines and reporting mechanisms for the benefit-sharing system will be established. Regular reports detailing fund allocation, project expenses, and benefit distribution will be shared with the community, stakeholders, and relevant authorities. The community are actively involved in decision-making, as well as in monitoring and evaluation efforts. Their feedback and suggestions will further promote transparency and accountability within the benefit-sharing framework.

For the Project to succeed in the Indonesian context, it is essential that local communities are fully engaged and receive the majority of the benefits from emission reductions associated with their forest areas. Their commitment is vital for ensuring the permanence of these emission reductions. Consequently, community involvement helps to ensure that: no Project activities inadvertently contribute to deforestation or forest degradation; monitoring systems are established and continuously improved to guarantee the effectiveness and permanence of emission reductions; safeguards are properly addressed and respected; and benefits are delivered to the rightful beneficiaries.

#### 2.5.9 Property Rights Protection (VCS, 3.18, 3.19; CCB, G5.3)

The project, which shifts planned land use from logging (oil palm plantation activities) to forest conservation, does not anticipate any displacement of local communities or lead to the involuntary removal or relocation of property rights holders from their lands or territories, nor does it force rights holders to relocate activities important to their culture or livelihood.

#### 2.5.10 Illegal Activity Identification (VCS, 3.19; CCB, G5.4)

In the context of the Project, several illegal activities, such as illegal logging, poaching, and the use of human trafficking, forced labor, and child labor, could potentially undermine its objectives. To address these concerns, the Project has implemented a comprehensive set of proactive measures:

- **Monitoring and Reporting:** A robust monitoring system has been established to detect illegal activities within the project area. Community members are encouraged to report any illegal actions through a secure and confidential feedback mechanism.
- **Capacity Building:** Training programs are provided to local communities to educate them on sustainable practices and the legal implications of illegal activities. This education empowers community members to recognize and reject illegal practices, fostering a culture of legality and sustainability.
- **Human Rights Commitment:** The Project explicitly prohibits the use of human trafficking, forced labor, and child labor in all its operations. This commitment is clearly communicated through contracts and agreements with stakeholders, ensuring that all project participants adhere to ethical labor practices. Regular audits and assessments are conducted to verify compliance, and any violations are addressed promptly.
- **Community Empowerment:** By promoting alternative livelihood opportunities, the Project reduces the economic incentives for engaging in illegal activities. Empowering local communities to derive income from legal and sustainable sources is essential for the long-term success of the Project.

Through these measures, the project aims to minimize the risk of illegal activities impacting its goals, ensuring that all benefits are derived from lawful practices while safeguarding human rights and community well-being.

#### 2.5.11 Ongoing Disputes (VCS, 3.18, 3.19; CCB, G5.5)

None.

#### 2.5.12 Approvals (CCB, G5.7)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.



### 2.5.13 Double Counting and Participation under Other GHG Programs (VCS, 3.23; CCB G5.9)

#### 2.5.13.1 No Double Issuance

Is the project receiving or seeking credit for reductions and removals from a project activity under another GHG program, or any other form of community, social, or biodiversity unit or credit?

☐ Yes ☒ No

#### 2.5.13.2 Registration in Other GHG Programs

Has the project registered under any other GHG programs?

☐ Yes ☒ No

Is the project active under the other program?

☐ Yes ☒ No

#### 2.5.13.3 Projects Rejected by Other GHG Programs

Has the project been rejected by any other GHG programs?

☐ Yes ☒ No

### 2.5.14 Double Claiming, Other Forms of Credit, and Scope 3 Emissions (VCS, 3.24)

#### 2.5.14.1 No Double Claiming with Emissions Trading Programs or Binding Emission Limits

Are project reductions and removals or project activities also included in an emissions trading program or binding emission limit? See the *VCS Program Definitions* for definitions of emissions trading program and binding emission limit.

☐ Yes ☒ No

#### 2.5.14.2 No Double Claiming with Other Forms of Environmental Credit

Has the project activity sought, received, or is planning to receive credit from another GHG-related environmental credit system? See the *VCS Program Definitions* for definition of GHG-related environmental credit system.

☐ Yes ☒ No

#### 2.5.14.3 Supply Chain (Scope 3) Emissions

Do the project activities affect the emissions footprint of any product(s) (goods or services) that are part of a supply chain?

☐ Yes ☒ No

*If yes:*

Is the project proponent(s) or authorized representative a buyer or seller of the product(s) (goods or services) that are part of a supply chain?

☐ Yes ☒ No

*If yes:*

Has the project proponent(s) or authorized representative posted a public statement on their website saying, "Carbon credits may be issued through Verified Carbon Standard project [project ID] for the greenhouse gas emission reductions or removals associated with [project proponent or authorized representative organization name(s)] [name of product(s) whose emissions footprint is changed by the project activities]."?

☐ Yes ☒ No

## 2.6 Additional Information Relevant to the Project

### 2.6.1 Leakage Management (VCS, 3.11, 3.15)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 2.6.2 Further Information

No further information.

# 3 CLIMATE

## 3.1 Application of Methodology

### 3.1.1 Title and Reference of Methodology (VCS, 3.1)

The Lestari Project is designed for validation under the verified Carbon Standard Version 4.7 and AFOLU Requirements Version 3.6. The project applies VM0048 Reducing Emissions from Deforestation and Forest Degradation Version 1.0 (VM0048, Reducing Emissions from Deforestation and Degradation, v1.0 (verra.org)). Modules establishing similar requirements for forest degradation and planned deforestation are under development. The module for Avoiding Planned Deforestation is expected to be released in 2024. Under this REDD Methodology Framework, the following modules and tools are applied by the project:

| Type<br>(methodology,<br>tool, module)     | Reference ID (if<br>applicable) | Title                                                                                                                                                                   | Version |
|--------------------------------------------|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| Methodology                                | VM0048                          | VM0048 Reducing Emissions from Deforestation and Deforestation,                                                                                                         | 1.0     |
| Methodology                                | VM0007                          | VM0007 REDD+ Methodology Framework (REDD-MF),                                                                                                                           | 1.8     |
| Additionality                              | VT0001                          | VT0001 Tool for the demonstration and assessment of additionality in VCS Agriculture, Forestry and Other Land Use (AFOLU) Project activities,                           | 3.0     |
| Permanence                                 | T-BAR                           | VCS AFOLU Non-Permanence Risk Tool,                                                                                                                                     | 4.2     |
| Baseline                                   | VMD0006                         | VMD0006 Estimation of baseline carbon stock changes and greenhouse gas emissions from planned deforestation/forest degradation and planned wetland degradation (BL-PL), | 1.4     |
| Carbon pool above- and belowground biomass | VMD0001                         | VMD0001 Estimation of carbon stocks in the above- and belowground biomass in live tree and non-tree pools (CP-AB),                                                      | 1.2     |
| Carbon pool wood products                  | VMD0005                         | VMD0005 Estimation of carbon stocks in the long-term wood products pool (CP-W),                                                                                         | 1.2     |
| Leakage                                    | VMD0009                         | VMD0009 Estimation of emissions from activity shifting for avoided planned deforestation (LK-ASP),                                                                      | 1.3     |
| Emissions                                  | VMD0013                         | VMD0013 Estimation of greenhouse gas emissions                                                                                                                          | 1.3     |

|                |                   |                                                                                                 |     |
|----------------|-------------------|-------------------------------------------------------------------------------------------------|-----|
|                |                   | from biomass and peat burning (E-BPB),                                                          |     |
| Monitoring     | VMD0015           | VMD0015 Methods for monitoring of GHG emissions and removals in REDD and CIW projects (M-REDD), | 2.3 |
| Stratification | VMD0016           | VMD0016 Methods for stratification of the project area (X-STR),                                 | 1.3 |
| Uncertainty    | VMD0017           | VMD0017 Estimation of uncertainty for REDD project activities (X-UNC),                          | 2.2 |
| Significance   | VM0048 APPENDIX 1 | APPENDIX 1: TESTING SIGNIFICANCE OF GHG EMISSIONS                                               | 1.0 |

### 3.1.2 Applicability of Methodology (VCS, 3.1)

As described underneath, the project activities for the Lestari Project area meets each of the applicability conditions of the VM0048 Reducing Emissions from Deforestation and Forest Degradation and the VM0048/VM0007 REDD+ Methodology Framework and the different tools and modules applied by the project. The project qualifies as a REDD project under the VM0048 and VM0007 REDD-MF because:

| Reference ID/Title | Applicability condition                                                                                                                                                                                                                                                                                                                                                                                        | Justification of conformance                                                                                                                     |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| VM0048/VM0007      | Land in the project area has qualified as forest (following the definition used by the VCS; in addition, see Section 5.1.2) for at least the 10 years prior to the project start date. Mangrove forests are excluded from any tree height requirement in a forest definition, as they consist of 95 percent mangrove species, which often do not reach the same height as other tree species. Mangroves occupy | Land in the Lestari Project area has qualified as forest (following the definition used by VCS) at least 10 years before the project start date; |

|               |                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                         |
|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|               | contiguous areas and their functioning as a forest is independent of tree height.                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                         |
| VM0048/VM0007 | Where land within the project area is peatland or tidal wetlands and emissions from the SOC pool are deemed significant, the relevant WRC modules (see Table 3) are applied alongside other relevant modules.                                                                                                                                       | TBC                                                                                                                                                                                                                                     |
| VM0048/VM0007 | Baseline deforestation in the project area falls within either of the following categories: <ul style="list-style-type: none"> <li>a) Unplanned deforestation (VCS category AUDef)</li> <li>b) Planned deforestation (VCS category APDef)</li> </ul>                                                                                                | Baseline deforestation and forest degradation in the project area falls within the category of Planned deforestation/degradation (VCS category APD);                                                                                    |
| VM0048/VM0007 | REDD activity types are not applicable under the following conditions:<br>Leakage prevention activities include: <ul style="list-style-type: none"> <li>a) Flooding agricultural lands to increase production (e.g., rice paddies); and/or</li> <li>b) Intensifying livestock production through use of feed-lots and/or manure lagoons.</li> </ul> | Leakage avoidance activities by the project does not include either agricultural lands that are flooded to increase production (e.g., rice paddy), or intensifying livestock production through use of feed-lots and/or manure lagoons; |
| VM0048/VM0007 | Avoiding planned deforestation activities are applicable under the following condition:                                                                                                                                                                                                                                                             | The project qualifies as an Avoided Planned Deforestation/Degradation project (VCS category APD) because:<br><br>The conversion of forest lands to a deforested condition in the Lestari                                                |

|        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|--------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|        | Where conversion of forest lands to a deforested condition is legally permitted                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <p>Project Area is legally permitted under the Lestari Logging concessions; Project documentation is available to clearly demonstrate that the land in the project area would have been converted to non-forest use if not for the REDD project.</p> <p>The project proponents can show ownership of the project site and ownership of the carbon rights for the project area;</p> <p>The proposed project activities within the project area will not lead to violation of any applicable law even if the law is not enforced.</p> <p>Applicability condition is met.</p>                                                                                                     |
| VM0048 | This methodology may only be used for eligible REDD projects and activities described in the VCS Methodology Requirements. The applicability conditions for each activity type are listed in AUDef and will be listed in APDef and AUdeg.                                                                                                                                                                                                                                                                                                        | <p>Based on all of the above information, it is clear that this project is an Avoided Planned Deforestation project (APDef).</p> <p>Applicability condition is met.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| VT0001 | <p>The tool is applicable under the following conditions:</p> <p>a) AFOLU activities the same or similar to the proposed project activity on the land within the proposed project boundary performed with or without being registered as the VCS AFOLU project shall not lead to violation of any applicable law even if the law is not enforced;</p> <p>b) The use of this tool to determine additionality requires the baseline methodology to provide for a stepwise approach justifying the determination of the most plausible baseline</p> | <p>The planned activities for this project in the project forest area involve avoiding deforestation and conserving the forest, which are fully compliant with all applicable laws and regulations in Indonesia. This includes environmental protection laws, land use laws, and policies related to carbon credit projects. Although enforcement may vary in practice, the project proponents have verified that the proposed activities do not violate any legal provisions. By refraining from deforestation and promoting conservation, The project owner ensures the project aligns with both national and international legal frameworks, satisfying this condition.</p> |

|         |                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | scenario. Project proponent(s) proposing new baseline methodologies shall ensure consistency between the determination of a baseline scenario and the determination of additionality of a project activity.                                                                                                                                                                                             | The applied methodologies VM0007/VM0048 provide a stepwise approach justifying the determination of the most plausible baseline scenario. The project does not involve new proposed methodology. Applicability condition is met.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| T-BAR   | /                                                                                                                                                                                                                                                                                                                                                                                                       | TBC                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| VMD0006 | <p>The module is applicable for estimating the baseline emissions on forest<sup>2</sup> lands (usually privately or government owned) that are legally authorized and documented to be converted to non-forest land.</p> <p>Where, pre-project, unsustainable fuelwood collection is occurring within the project boundaries Modules BL-DFW and LK-DFW must be used to determine potential leakage.</p> | <p>The project forest in Indonesia falls under the legal ownership of this project owner, which holds documented and uncontested rights to convert the forest land to non-forest uses, such as for agricultural purposes. These rights are recognized under applicable land-use laws and regulations in Indonesia. The baseline scenario assumes large-scale deforestation for economic crop production, consistent with the legal authorization to convert the forest land. Since the project involves avoiding planned deforestation, this condition is fully satisfied as the baseline emissions estimation focuses on legally permissible activities that are avoided through the project intervention.</p> <p>Pre-project assessments indicate that unsustainable fuelwood collection is not a significant activity within the project forest boundaries. This is due to the forest's remote location and the limited access of local communities to the area for such activities. Consequently, there is no need to apply Modules BL-DFW or LK-DFW to account for potential leakage from fuelwood collection. However, monitoring systems will remain in place during the project to ensure that any changes in fuelwood collection activities are identified and addressed if</p> |



|                   |                                                                                                                                                                                                                    |                                                                                                                                                              |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                   |                                                                                                                                                                                                                    | necessary. This confirms compliance with this applicability condition.                                                                                       |
| VMD0001           | This module is applicable to all forest types and age classes.                                                                                                                                                     | This module is applicable to all forest types and age classes.                                                                                               |
| VMD0005           | This module is applicable to all cases where wood is harvested for conversion to wood products for commercial markets, for all forest types and age classes.                                                       | This module is applicable to all cases where wood is harvested for conversion to wood products for commercial markets, for all forest types and age classes. |
| VMD0015           | Strata as defined in the relevant baseline modules are fixed and may not be changed without baseline revision.<br><br>The module is mandatory for REDD, CIW-REDD, RWE-REDD and stand-alone CIW project activities. | The module is mandatory for REDD, CIW-REDD, RWE-REDD and stand-alone CIW project activities.                                                                 |
| VMD0017           | This module is mandatory when using methodology REDD+ MF.                                                                                                                                                          | This module is mandatory when using methodology REDD+ MF.                                                                                                    |
| VM0048 APPENDIX 1 | Appendix 1 of VM 0048 methodology must be used to determine significance.                                                                                                                                          | Appendix 1 of VM 0048 methodology must be used to determine significance.                                                                                    |

### 3.1.3 Project Boundary (VCS, 3.12)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.1.4 Baseline Scenario (VCS, 3.13)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.1.5 Additionality (VCS, 3.14)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 3.1.5.1 Regulatory Surplus (VCS, 3.14)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7..

#### 3.1.5.2 Additionality Methods (VCS, 3.14)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.1.6 Methodology Deviations (VCS, 3.20)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

## 3.2 Quantification of Estimated GHG Emission Reductions and Removals

### 3.2.1 Baseline Emissions (VCS, 3.15)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.2.2 Project Emissions (VCS, 3.15)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.2.3 Leakage Emissions (VCS 2.5, 3.2, 3.6, 3.15, 4.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.2.4 Estimated GHG Emission Reductions and Carbon Dioxide Removals (VCS, 3.15, 4.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.3 Monitoring

#### 3.3.1 Data and Parameters Available at Validation (VCS, 3.16)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 3.3.2 Data and Parameters Monitored (VCS, 3.16)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 3.3.3 Monitoring Plan (VCS, 3.16, 3.20)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 3.3.4 Dissemination of Monitoring Plan and Results (VCS, 3.18; CCB, CL4.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 3.4 Optional Criterion: Climate Change Adaptation Benefits

#### 3.4.1 Regional Climate Change Scenarios (CCB, GL1.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 3.4.2 Climate Change Impacts (CCB, GL1.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 3.4.3 Measures Needed and Designed for Adaptation (CCB, GL1.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

## 4 COMMUNITY

### 4.1 Without-Project Community Scenario

#### 4.1.1 Descriptions of Communities at Project Start (CCB, CM1.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.1.2 Interactions between Communities and Community Groups (VCS, 3.19; CCB, CM1.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.1.3 High Conservation Values (CCB, CM1.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.1.4 Without-Project Scenario: Community (CCB, CM1.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 4.2 Net Positive Community Impacts

#### 4.2.1 Expected Community Impacts (CCB, CM2.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.2.2 Negative Community Impact Mitigation (VCS, 3.19; CCB, CM2.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.2.3 Net Positive Community Well-Being (VCS, 3.19; CCB, CM2.3, GL1.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.2.4 High Conservation Values Protected (CCB, CM2.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 4.3 Other Stakeholder Impacts

#### 4.3.1 Impacts on Other Stakeholders (VCS, 3.18, 3.19; CCB, CM3.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.3.2 Mitigation of Negative Impacts on Other Stakeholders (VCS, 3.18, 3.19; CCB, CM3.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.3.3 Net Impacts on Other Stakeholders (VCS, 3.18, 3.19; CCB, CM3.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 4.4 Community Impact Monitoring

#### 4.4.1 Community Monitoring Plan (CCB, CM4.1, CM4.2, GL1.4, GL2.2, GL2.3, GL2.5)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.4.2 Monitoring Plan Dissemination (CCB, CM4.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 4.5 Optional Criterion: Exceptional Community Benefits

#### 4.5.1 Exceptional Community Criteria (CCB, GL2.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7..

#### 4.5.2 Short-term and Long-term Community Benefits (CCB, GL2.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.3 Community Participation Risks (CCB, GL2.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.4 Marginalized and/or Vulnerable Community Groups (CCB, GL2.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.5 Net Impacts on Women (CCB, GL2.5)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.6 Benefit Sharing Mechanisms (CCB, GL2.6)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.7 Benefits, Costs, and Risks Communication (VCS, 3.18; CCB, GL2.7)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.8 Governance and Implementation Structures (CCB, GL2.8)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 4.5.9 Smallholders/Community Members Capacity Development (CCB, GL2.9)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

## 5 BIODIVERSITY

### 5.1 Without-Project Biodiversity Scenario

#### 5.1.1 Existing Conditions (VCS, 3.19; CCB, B1.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 5.1.2 High Conservation Values (CCB, B1.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 5.1.3 Without-project Scenario: Biodiversity (CCB, B1.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

## 5.2 Net Positive Biodiversity Impacts

### 5.2.1 Expected Biodiversity Changes (VCS, 3.19; CCB, B2.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.2 Mitigation Measures (VCS, 3.19; CCB, B2.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.3 Net Positive Biodiversity Impacts (CCB, B2.2, GL1.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.4 High Conservation Values Protected (CCB, B2.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.5 Species Used (VCS, 3.19; CCB, B2.5, B2.6)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.6 Invasive Species (VCS, 3.19; CCB, B2.5)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.7 GMO Exclusion (CCB, B2.7)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.2.8 Inputs Justification (VCS, 3.19; CCB, B2.8)



Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 5.2.9 Waste Products (VCS, 3.19; CCB, B2.9)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.3 Offsite Biodiversity Impacts

#### 5.3.1 Negative Offsite Biodiversity Impacts (CCB, B3.1) and Mitigation Measures (CCB, B3.2)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 5.3.2 Net Offsite Biodiversity Benefits (VCS, 3.19; CCB, B3.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.4 Biodiversity Impact Monitoring

#### 5.4.1 Biodiversity Monitoring Plan (CCB, B4.1, B4.2, GL1.4, GL3.4)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 5.4.2 Biodiversity Monitoring Plan Dissemination (CCB, B4.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

### 5.5 Optional Criterion: Exceptional Biodiversity Benefits

#### 5.5.1 High Biodiversity Conservation Priority Status (CCB, GL3.1)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.

#### 5.5.2 Trigger Species Population Trends (CCB, GL3.2, GL3.3)

Section not required for the Under Development stage in accordance to Verra's Registration and Issuance Process v4.7.



## APPENDIX 1: PROJECT RISKS TABLE

|                                                                | Identified risk(s) | Potential impact of risk on stakeholders, ecosystem health, and biodiversity | Mitigation or preventative measure(s) taken                                                                                                                                                                                             |
|----------------------------------------------------------------|--------------------|------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Natural and human induced risks to stakeholders' wellbeing     | No risk identified | No risk identified                                                           | The project encompasses thorough monitoring and evaluation processes designed to alleviate any threats to stakeholder well-being, whether they arise from natural causes or human activities.                                           |
| Risks to stakeholder participation                             | No risk identified | No risk identified                                                           | The project incorporates extensive monitoring and evaluation measures intended to address and minimize any risks to the welfare of stakeholders, irrespective of whether these dangers stem from natural events or human interventions. |
| Working conditions                                             | No risk identified | No risk identified                                                           | The project complies with rigorous labor standards and regulations, thereby guaranteeing safe and equitable working environments for all individuals involved.                                                                          |
| Safety of women and girls                                      | No risk identified | No risk identified                                                           | Irreversible damage or danger to the safety of women and girls will not occur.                                                                                                                                                          |
| Safety of minority and marginalized groups, including children | No risk identified | No risk identified                                                           | The project ensures that there will be no overall adverse impact on the safety of minority and marginalized communities, encompassing children.                                                                                         |

|                                                                                                                                               |                    |                    |                                                                                                                                                                                                     |
|-----------------------------------------------------------------------------------------------------------------------------------------------|--------------------|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Pollutants (air, noise, discharges to water, generation of waste, and release of hazardous materials and chemical pesticides and fertilizers) | No risk identified | No risk identified | Being a REDD project, it does not produce any pollutants as a result of its activities.                                                                                                             |
| Discrimination                                                                                                                                | No risk identified | No risk identified | The project advocates for and implements policies against discrimination, thereby guaranteeing fair treatment to be extended to every stakeholder involved.                                         |
| Sexual harassment                                                                                                                             | No risk identified | No risk identified | Training programs are in place to proactively prevent and effectively respond to any occurrences of sexual harassment within the scope of the project.                                              |
| Equal pay for equal work                                                                                                                      | No risk identified | No risk identified | The project is dedicated to upholding equitable wage policies, guaranteeing that all employees receive equal compensation for comparable work.                                                      |
| Gender equity in labor and work                                                                                                               | No risk identified | No risk identified | The project aimed at achieving gender equality are incorporated into both the planning and implementation stages of the project, with the goal of fostering equal opportunities across all genders. |
| Forced labor <sup>3</sup>                                                                                                                     | No risk identified | No risk identified | The project categorically forbids the use of forced labor and incorporates strategies to                                                                                                            |

<sup>3</sup> The identified risks and commensurate mitigation or preventative measure(s) for forced labor, child labor, and human trafficking, must be inclusive of staff and contracted workers employed by third parties.

|                                                                                                                                                                                                            |                    |                    |                                                                                                                                                                                               |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                                                            |                    |                    | guarantee adherence to human rights and labor legislation.                                                                                                                                    |
| Child labor                                                                                                                                                                                                | No risk identified | No risk identified | The project strictly prohibits child labor and includes measures to ensure compliance with human rights and labor laws.                                                                       |
| Human trafficking                                                                                                                                                                                          | No risk identified | No risk identified | The project firmly prohibits the employment of child labor and has implemented measures to safeguard adherence to human rights and labor legislation.                                         |
| Recognition of, respect of, and promotion of the rights to IPs, LCs and customary rights holders                                                                                                           | No risk identified | No risk identified | The project proactively collaborates with Indigenous Peoples and Local Communities, acknowledging and supporting their rights and welfare.                                                    |
| Preserving and protecting cultural heritage                                                                                                                                                                | No risk identified | No risk identified | The project is dedicated to the active conservation and safeguarding of cultural heritage. This is achieved through discussions held during community meetings and stakeholder consultations. |
| Protecting and preserving property rights, customary rights, or protecting legal or customary tenure/access rights to territories, property, and resources, including collective and/or conflicting rights | No risk identified | No risk identified | The project upholds and safeguards the property and traditional rights of all parties involved.                                                                                               |

|                                                                                                   |                    |                    |                                                                                                                                                        |
|---------------------------------------------------------------------------------------------------|--------------------|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| Impacts on biodiversity and ecosystems                                                            | No risk identified | No risk identified | The project is designed to cause no adverse effects on biodiversity, as it focuses on the conservation of forests and the prevention of deforestation. |
| Soil degradation and soil erosion                                                                 | No risk identified | No risk identified | The project is detrimental to neither the soil nor the environment, as it prioritizes the preservation of forests and the avoidance of deforestation.  |
| Water consumption and stress                                                                      | No risk identified | No risk identified | The project does not impact water usage or exert stress on water resources, and it is also aimed at supplying the community with clean drinking water. |
| Habitats (and areas needed for habitat connectivity) for rare, threatened, and endangered species | No risk identified | No risk identified | The project causes no damage to habitats and actively works to protect the living environments of endangered species.                                  |
| Areas needed for habitat connectivity                                                             | No risk identified | No risk identified | The project guarantees the preservation of habitat connectivity.                                                                                       |
| Invasive species                                                                                  | No risk identified | No risk identified | The project will not introduce any non-native or invasive species.                                                                                     |
| Ecosystem conversion                                                                              | No risk identified | No risk identified | The project concentrates on the preservation of natural ecological systems.                                                                            |

## APPENDIX 2: COMMERCIALY SENSITIVE INFORMATION

| Section        | Information    | Justification  |
|----------------|----------------|----------------|
| Not Applicable | Not Applicable | Not Applicable |

